

Active managers' holdings update

Peak exposure to capex vs. consumption.

The easy money in capex vs consumption has been made

...based on an analysis of LO active funds' industry exposure versus history. This is somewhat justified in our view, as a shift from consumption to capex has been our core thesis for 2026 (see [Year Ahead](#)). But alpha from buying AI capex beneficiaries and selling white collar consumption themes may be harder fought given the current positioning line-up. Industrials weights are near record highs vs. Discretionary (Exhibit 2); AI disruptees positioning sits near record lows and relative weights in needs vs. wants have surged. We think it's time to selectively pivot, as it is dangerous to underestimate the appetite of US consumers and capex strength may be more priced in than not.

Musical chairs in Tech/Media/Telecom

Whereas stocks like AAPL and MSFT have remained "steady eddies" – core holdings (consistently held by >80% of fund but slightly U/W given size in the benchmark) other Tech stocks have seen positioning jump up since 2015 (see inside). We are neutral on TMT after recently raising Comm Svcs. to M/W (see [Relative Value Cheat Sheet](#)), joining Tech, and see risks and rewards more appropriately priced in across mega cap TMT.

Positioning illustrates less straying from US large caps

After several years of the S&P 500 index handily beating most other domestic and global equity indices, active managers' holdings outside of the S&P 500 are close to all-time lows. Exposure outside of the S&P 500 sits at 15% where it has ranged between 14% in 2024 and 20% in 2020. Cash levels have stuck at lows since 2024, and ADR exposure has barely budged over the last several years at about 2%. See Exhibit 11.

Beyond AI: Health Care back on generalists' radars

Whether AI fatigue or a picked-over market (P/E dispersion has collapsed, see Exhibit 1) are to blame, we have been fielding requests for growth stocks that have nothing to do with AI. Health Care companies screen well as idiosyncratic, with demographic demand drivers and AI adoption benefits. But policy risk is the gating factor, especially ahead of mid-term campaign season. Take comfort in that compared to ahead of prior negative policy shocks (H. Clinton's 2015 tweet, Sanders' "Medicare for All" moment in 2019), the sector is less crowded, at about a 10% O/W vs. closer to 20% in the prior two periods.

Tax loss selling underway, but not over (new screen)

We usually publish tax loss screens right about now, as October has seen peak institutional selling (Exhibit 13). But after earlier and earlier requests each year, we published in last month's [Ownership note](#). The stocks (S&P 500 companies with YTD losses of at least 10% and broad overweight positioning) have since turned in losses of -6ppt. But there may be more to go given that (a) institutional investors were not aggressive sellers last month (see [September flows note](#)) and (b) returns based on this strategy have been worst in October (Exhibit 14). We update the screen as of 9/30/2026. But be nimble – history suggests selling today, and buying as early as Nov.

Trading ideas and investment strategies discussed herein may give rise to significant risk and are not suitable for all investors. Investors should have experience in relevant markets and the financial resources to absorb any losses arising from applying these ideas or strategies.

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Refer to important disclosures on page 28 to 30.

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Also see our [September active fund performance report](#).

Acronyms

LO: Long-only (fund)

HF: Hedge fund

Rel. wgt.: Relative weight vs. S&P 500

O/W: Overweight

M/W: Marketweight

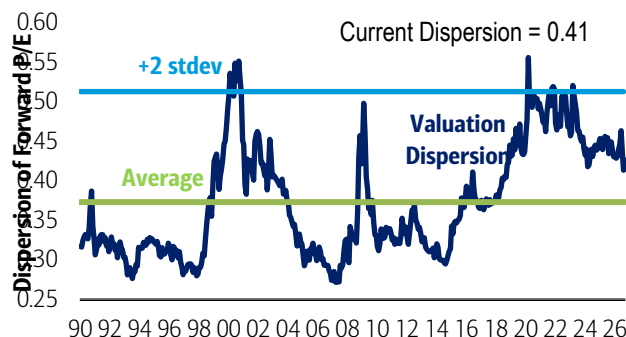
U/W: Underweight

Spotlight: AI Capex vs. Consumption

Alpha from fundamentals/valuation mean reversion is likely more behind us than ahead of us. ...based on long-only active funds' industry exposure versus history. This is somewhat justified in our view, as a shift from consumption to capex has been our core thesis for 2026 (see [Year Ahead](#)). But alpha from buying AI capex beneficiaries and selling white collar consumption themes may be harder fought given the current positioning line-up. Industrials positioning relative to Discretionary is near record highs.

Exhibit 1: The easy alpha from valuation mean reversion has likely been made

S&P 500 valuation dispersion of fwd P/E (std. dev / avg) (1990-09/26)



Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 2: Industrials vs. Discretionary has climbed to near record highs

Ratio of funds' rel. weight in Industrials to Discretionary vs. S&P 500 index, priced as of 9/21/26



Source: FactSet, BofA US Equity & Quant Strategy

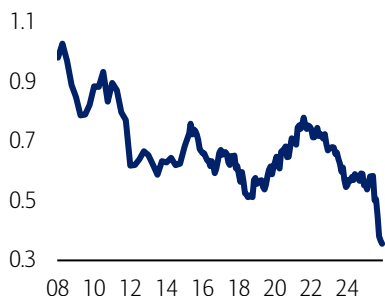
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AI disruptees have been summarily discarded

IT Services, Consumer Finance and Software have been victims of disruption risk from AI and automation, and now sit near record low positioning exposure.

Exhibit 3: IT Services weight at all-time low...

Funds' rel. weight in IT Svcs. vs. S&P 500 index, priced as of 9/21/26

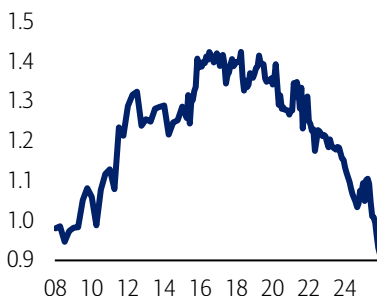


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 4: ...as is Software...

Funds' rel. weight in Software vs. S&P 500 index, priced as of 9/21/26

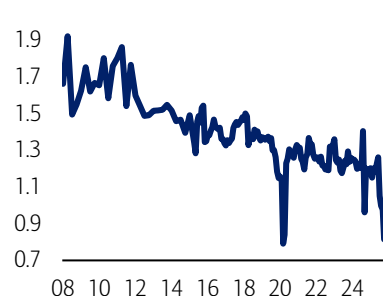


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 5: ...and Consumer Finance

Funds' rel. weight in Consumer Finance vs. S&P 500 index, priced as of 9/21/26



Source: FactSet, BofA US Equity & Quant Strategy

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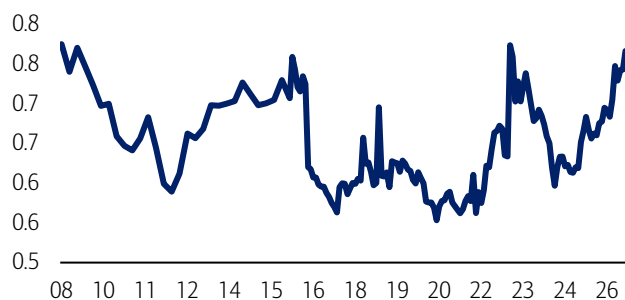
Needs are now crowded vs. wants

As high paying jobs in industries like the three disruptees above are increasingly at risk, expectations for a continued trade down amid white collar professionals from wants to needs is evident in Staples vs. Discretionary and Tobacco vs. Textiles/Apparel/Luxury Goods positioning.



Exhibit 6: Staples vs. Discretionary weight is near historical highs

Ratio of funds' rel. weight in Staples to Discretionary, priced as of 9/21/26

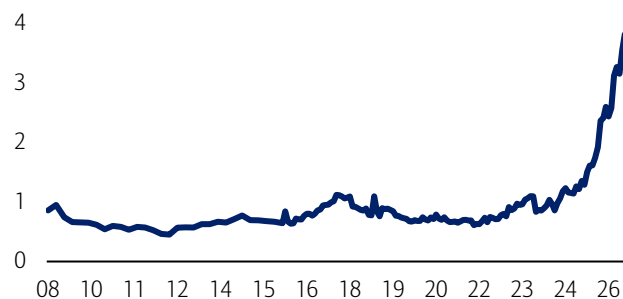


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 7: Tobacco vs. Luxury Goods weight is now 4x vs. 1x for most of the period prior to 2024

Ratio of funds' rel. weight in Tobacco to Luxury Goods, priced as of 9/21/26



Source: FactSet, BofA US Equity & Quant Strategy

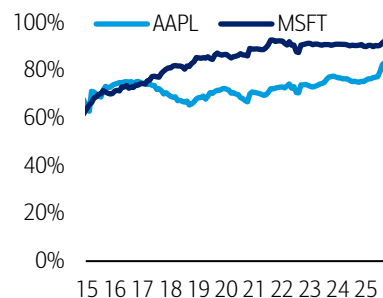
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Tech musical chairs

Some big caps have been core holdings, others have seen recent love, and today's tech ownership profile shows significant dispersion across stocks.

Exhibit 8: Some TMT stocks are "steady eddies"...

% of LOs owning (priced as of 9/21/26)

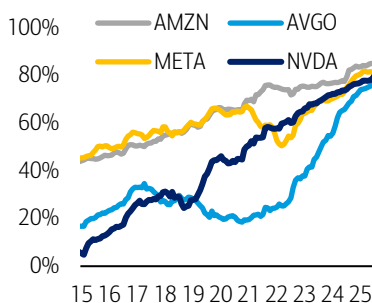


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 9: ...others have been fast climbers

% of LOs owning (priced as of 9/21/26)

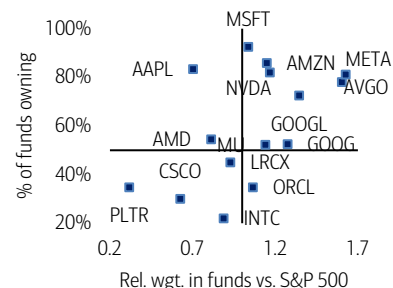


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 10: Dispersion in big Tech ownership

LO positioning in Top 10 Tech + hyperscalers (priced as of 9/21/26)

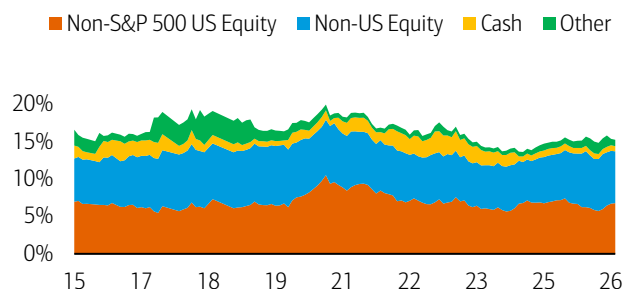


Source: FactSet, BofA US Equity & Quant Strategy

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Fear of non-S&P exposure**Exhibit 11: LO positioning outside of the S&P 500 is contained**

Percentage of long-only fund AUM, priced as of 9/21/26

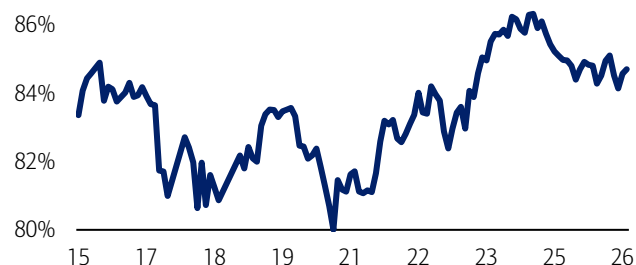


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 12: Active funds are not straying too far from the S&P 500

S&P 500 stocks as percentage of long-only fund AUM, priced as of 9/21/26



Source: FactSet, BofA US Equity & Quant Strategy

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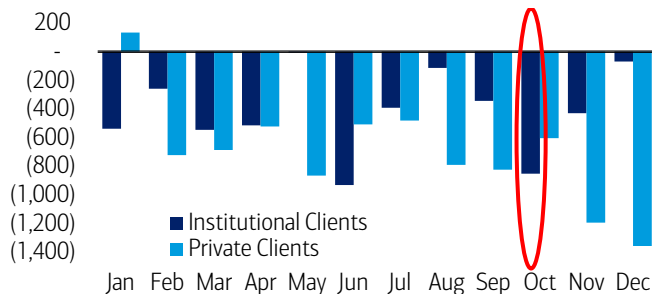


Tax loss harvesting is in the works

We usually provide tax loss screens ahead of October, the month of highest institutional selling based on flows (Exhibit 13) but have been fielding requests earlier and earlier each year, and published a screen in last month's holdings note which turned in losses of 6.5ppt since 8/31/26. However, there may be more to go given that (a) institutional investor sales are not unusually negative in [September \(see note\)](#) and (b) returns based on this basket are generally most negative in October (Exhibit 14). We update the screen as of 9/30/2026 in Exhibit 15, for a screen of stocks most at risk based on YTD losses of at least 10% and broad overweight positioning. But be nimble – history suggests selling today, and buying as early as Nov.

Exhibit 13: Institutional client selling has typically peaked in Oct

BofA Client Flows: Average net buying (selling) of US single stocks by institutional and private clients (\$mn) since 2008

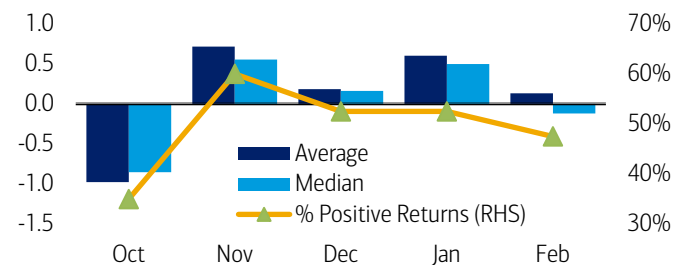


Source: BofA US Equity & Quant Strategy

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Exhibit 14: Tax Loss Harvesting Candidates (TLCs) have lagged most in October

Historical relative returns for TLCs vs. S&P 500, based on stocks down >10% from Jan.-Sep. (1986-2025)



Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 15: Tax Loss Candidates Screen

S&P 500 stocks down 10% or more from January-September YTD, where percent of mutual funds owning them is above the median

Ticker	Company Name	Sector	YTD Perf (as of 9/30)	% of funds owning stock	Rel. weight vs. S&P 500	BofA Rating
MDT	Medtronic Plc	Health Care	-10.2	15.0%	0.56	
COR	Cencora, Inc.	Health Care	-11.1	10.3%	0.80	NEUTRAL
MCO	Moody's Corporation	Financials	-11.1	16.7%	0.74	BUY
WDAY	Workday, Inc. Class A	Information Technology	-11.3	10.3%	1.05	NEUTRAL
EL	Estee Lauder Companies Inc. Class A	Consumer Staples	-11.4	10.6%	0.44	BUY
SRE	Sempra	Utilities	-11.7	9.4%	0.62	BUY
PEP	PepsiCo, Inc.	Consumer Staples	-11.7	21.1%	0.23	NEUTRAL
AJG	Arthur J. Gallagher & Co.	Financials	-11.9	14.2%	2.21	
NOW	ServiceNow, Inc.	Information Technology	-12.5	28.6%	0.60	BUY
AIG	American International Group, Inc.	Financials	-13.0	9.7%	1.23	NEUTRAL
CRM	Salesforce, Inc.	Information Technology	-13.3	26.9%	0.79	UNDERPERFORM
CMG	Chipotle Mexican Grill, Inc.	Consumer Discretionary	-13.6	16.4%	1.63	BUY
TJX	TJX Companies Inc	Consumer Discretionary	-13.9	40.6%	1.02	BUY
WFC	Wells Fargo & Company	Financials	-14.1	25.0%	1.35	BUY
VST	Vistra Corp.	Utilities	-14.2	11.7%	0.35	BUY
BA	Boeing Company	Industrials	-14.3	30.6%	2.23	BUY
NOC	Northrop Grumman Corp.	Industrials	-15.2	11.7%	1.68	BUY
UBER	Uber Technologies, Inc.	Industrials	-16.2	25.0%	1.43	BUY
AZO	AutoZone, Inc.	Consumer Discretionary	-16.6	12.2%	0.80	BUY
HD	Home Depot, Inc.	Consumer Discretionary	-17.3	33.9%	0.75	BUY
AXP	American Express Company	Financials	-17.8	23.1%	0.67	BUY
TDG	TransDigm Group Incorporated	Industrials	-18.6	10.6%	2.65	BUY
DASH	DoorDash, Inc. Class A	Consumer Discretionary	-19.0	17.2%	1.81	BUY
TMUS	T-Mobile US, Inc.	Communication Services	-19.7	16.1%	0.98	BUY
APO	Apollo Global Management Inc	Financials	-19.8	11.7%	1.57	BUY
CBRE	CBRE Group, Inc. Class A	Real Estate	-20.1	13.1%	0.51	
SPGI	S&P Global, Inc.	Financials	-20.2	21.4%	0.55	BUY
COF	Capital One Financial Corp	Financials	-20.3	15.0%	1.14	BUY
TSLA	Tesla, Inc.	Consumer Discretionary	-21.1	46.4%	0.67	BUY
ABT	Abbott Laboratories	Health Care	-21.1	19.7%	0.98	BUY
AON	Aon Plc Class A	Financials	-21.6	13.3%	1.52	UNDERPERFORM
SYK	Stryker Corporation	Health Care	-21.6	23.1%	0.76	BUY



Exhibit 15: Tax Loss Candidates Screen

S&P 500 stocks down 10% or more from January-September YTD, where percent of mutual funds owning them is above the median

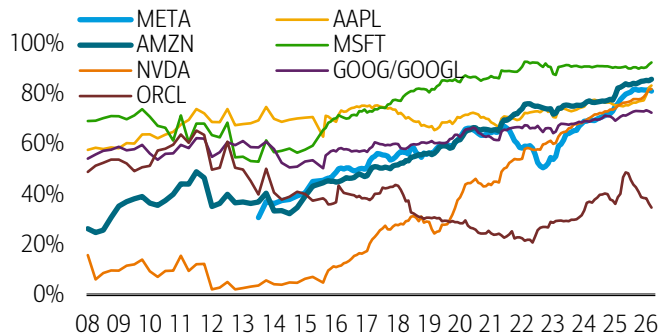
Ticker	Company Name	Sector	YTD Perf (as of 9/30)	% of funds owning stock	Rel. weight vs. S&P 500	BofA Rating
CMCSA	Comcast Corporation Class A	Communication Services	-22.3	12.8%	1.37	BUY
IDXX	IDEXX Laboratories, Inc.	Health Care	-22.8	14.7%	0.69	NEUTRAL
MLM	Martin Marietta Materials, Inc.	Materials	-22.9	10.0%	1.29	NEUTRAL
LOW	Lowe's Companies, Inc.	Consumer Discretionary	-23.6	23.6%	1.21	NEUTRAL
BKNG	Booking Holdings Inc.	Consumer Discretionary	-23.9	29.4%	1.43	BUY
MCD	McDonald's Corporation	Consumer Discretionary	-24.4	21.4%	0.48	NEUTRAL
VRSK	Verisk Analytics, Inc.	Industrials	-25.0	10.0%	1.67	NEUTRAL
AXON	Axon Enterprise Inc	Industrials	-25.6	12.2%	0.85	BUY
IBM	International Business Machines Corporation	Information Technology	-25.8	15.8%	0.19	BUY
NFLX	Netflix, Inc.	Communication Services	-25.8	50.8%	1.38	BUY
CVNA	Carvana Co. Class A	Consumer Discretionary	-25.9	11.4%	3.28	NEUTRAL
BX	Blackstone Inc.	Financials	-27.3	12.8%	0.74	BUY
CEG	Constellation Energy Corporation	Utilities	-28.1	17.8%	1.73	BUY
ISRG	Intuitive Surgical, Inc.	Health Care	-28.2	35.3%	1.13	BUY
KKR	KKR & Co Inc	Financials	-28.4	14.4%	2.13	BUY
ADSK	Autodesk, Inc.	Information Technology	-29.4	16.1%	0.71	BUY
ORCL	Oracle Corporation	Information Technology	-29.6	34.7%	1.06	BUY
ADBE	Adobe Inc.	Information Technology	-31.4	16.9%	0.55	UNDERPERFORM
ACN	Accenture Plc Class A	Information Technology	-31.7	15.0%	0.42	
RDDT	Reddit, Inc. Class A	Communication Services	-38.0	11.1%	1.40	NEUTRAL
NRG	NRG Energy, Inc.	Utilities	-39.9	9.7%	1.27	
NKE	NIKE, Inc. Class B	Consumer Discretionary	-44.4	13.3%	0.87	UNDERPERFORM
BSX	Boston Scientific Corporation	Health Care	-54.2	16.4%	1.33	BUY
APP	AppLovin Corp. Class A	Communication Services	-56.9	23.6%	1.43	NEUTRAL
INTU	Intuit Inc.	Information Technology	-58.4	18.9%	0.30	NEUTRAL

Source: FactSet, BofA US Equity & US Quant Strategy. Note: This screen is not a recommended list either individually or as a group of stocks. Investors should consider the fundamentals of the companies and their own individual circumstances/objectives before making an investment decision.

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Mega caps crowded vs. history**Exhibit 16: Most hyperscalers/megacap TMT are owned by >70% of funds**

% of LOs owning each ticker (priced as of 9/21/26)

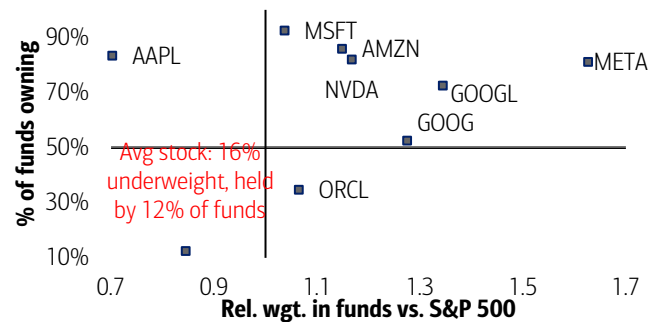


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 17: Most Mag 7/Hyperscalers are overweight vs. the S&P

Ownership of select mega-cap TMT vs. the avg. S&P 500 stock (priced as of 9/21/26)



Source: FactSet, BofA US Equity & Quant Strategy

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Value factors: cheap relative to history, neglected by LOs

Exhibit 18: Factors valuation and positioning

Long-short (unconstrained) factors listed from most to least expensive & crowded using a multi-indicator ranking (as of 9/30/2026)

Factor	Long Factors (S&P 500 top decile)				Short Factors (S&P 500 bottom decile)				
	Price to Book (Relative)	Forward P/E (Relative)	Crowdedness	Long Rank	Price to Book (Relative)	Forward P/E (Relative)	Crowdedness	Short Rank	
	Relative multiple vs. history (>1 = expensive vs. history)	Relative multiple vs. history (>1 = expensive vs. history)	Long Only Funds' Relative Wt.	Rank for Long Factor (1=most expensive / most crowded)	Relative multiple vs. history (>1 = expensive vs. history)	Relative multiple vs. history (>1 = expensive vs. history)	Long Only Funds' Relative Wt.	Rank for Short Factor (1=least expensive / least crowded)	Rank for long-short factor (1=most downside risk)
High (Low) Projected 5-Yr Growth	1.61	1.16	1.10	2	0.77	0.79	0.78	2	1
High (Low) ROA	1.56	1.15	1.11	3	0.76	0.80	0.94	4	2
High (Low) Dividend Growth	1.03	1.08	1.22	18	0.75	0.81	0.75	1	3
High (Low) Beta	1.98	0.92	1.02	17	0.59	0.84	0.86	3	4
High (Low) EPS Momentum	1.69	0.99	1.09	7	0.73	0.98	0.83	6	5
High (Low) ROC	1.49	1.11	1.09	6	0.78	0.96	0.85	10	6
High (No) Foreign Exposure	1.19	1.02	1.17	18	0.73	0.95	0.87	8	7
Low (High) Institutional Ownership	1.71	1.11	0.85	20	0.68	0.91	0.89	7	8
High (Low) Rel. Strength (Price/200D MA)	1.40	1.25	0.92	15	0.96	0.78	0.97	11	9
High (Low) Relative Strength (30wk/75wk)	1.72	1.35	0.93	5	1.33	0.88	0.92	19	10
High (Low) ROE (1-Yr Average)	1.34	1.10	1.03	11	0.46	1.00	0.95	14	11
High (Low) ROE (5-Yr Average)	1.57	1.04	0.99	15	0.62	1.09	0.87	12	11
Falling (Rising) Short Interest	1.48	1.18	0.98	8	1.30	0.98	0.83	18	13
High (Low) Upward Estimate Revisions	1.54	1.10	1.00	9	0.99	0.87	0.99	17	14
High (Low) Price Returns (9-Month)	2.07	1.33	0.97	4	1.40	0.84	1.09	30	15
High (Low) Price Returns (12-m + 1-m)	1.83	1.38	1.02	1	1.52	0.86	1.10	34	16
High (Low) Price Ret. (11-m, since 1-y ago)	1.68	1.16	0.90	11	1.28	0.88	0.96	20	17
Most (Least) Active	1.33	0.97	1.02	21	1.10	1.09	0.80	16	18
High (Low) Relative Strength (5wk/30wk)	1.28	1.06	0.90	23	1.22	0.85	0.88	13	19
High (Low) Price Returns (12-Month)	1.63	1.24	0.89	10	1.35	0.91	0.97	24	20
Low EPS Torpedo	na	na	0.74	29	0.88	0.96	0.74	4	21
Low (High) PE to GROWTH	0.88	0.90	1.18	26	0.79	1.42	0.75	15	22
Forecast Positive (Negative) EPS Surprise	1.20	1.03	1.21	11	0.90	0.98	1.09	31	23
High (Low) Relative Strength (10wk/40wk)	1.13	0.96	0.87	28	1.23	0.85	0.84	9	24
High (Low) ROE (1-Yr Avg. Adj. by Debt)	1.32	1.10	1.05	11	1.45	0.91	1.09	32	25
High (Low) Duration	1.31	1.14	0.81	23	1.78	0.76	1.14	32	26
Low (High) DDM Valuation	1.18	0.93	1.09	22	1.98	1.47	0.82	35	26
High (Low) Variability of EPS	0.87	0.95	0.99	27	1.24	1.15	0.88	26	28
High (Low) ROE (5-Yr Avg. Adj. by Debt)	1.13	0.98	0.99	23	1.52	0.93	1.07	36	29
High (Low) EPS Estimate Dispersion	1.12	0.47	0.92	32	0.52	1.04	1.05	20	30
High (Low) Free Cash Flow to EV	0.91	0.92	0.81	33	0.84	1.02	0.99	23	31
High (Low) Earnings Yield	0.69	0.96	0.85	36	1.18	1.52	0.81	22	32
High (Low) Share Repurchase	1.08	0.86	0.75	37	0.88	1.15	0.97	25	33
High (Low) Price Ret. (12-m+1-m Reversal)	0.51	0.79	0.98	39	1.31	0.93	1.05	28	34
High (Low) Dividend Yield	0.74	0.97	0.48	40	1.24	1.14	0.93	28	35
Low (High) Price to Cash Flow	0.78	0.88	0.79	41	1.22	2.04	0.86	26	36
High (Low) Price Returns (3-Month)	0.88	0.85	0.97	31	1.71	1.02	1.02	39	37
High (Low) Forward Earnings Yield	0.71	0.95	0.88	34	1.92	2.67	0.82	37	38
Low (High) Analyst Coverage	0.64	1.14	0.42	34	1.50	1.13	1.06	41	39
Low (High) Price to Book Value	0.84	0.81	0.81	41	1.17	1.47	1.07	37	40
Small (Large) Size	1.06	0.91	0.52	38	1.65	1.32	1.04	42	41
Low (High) Price to Sales	0.89	0.89	0.92	30	1.70	2.06	1.08	45	42
Low (High) EV/EBITDA	0.69	0.91	0.61	44	1.41	2.08	0.94	40	43
Low (High) Price to Free Cash Flow	0.79	0.88	0.66	43	1.58	1.83	1.05	44	44
Low (High) Price	0.75	0.73	0.58	45	1.31	1.42	1.10	43	45

Source: BofA US Equity and Quant Strategy, FactSet. Based on data since February 2001. For the following short factors valuation data are available as indicated: Fwd EPS Yield since 4/05; Price/ Cash Flow and Price/ Free Cash Flo since 7/03; EV/EBITDA since 9/04; FCF/EV since 9/12; Dividend Growth since 8/04; Share Repurchase since 2/05; Most Active since 7/03; Analyst Coverage since 11/05; Foreign Exposure since 7/03. Relative multiple vs. history is based on relative valuation the factor versus the S&P 500 and calculated as the latest value divided by historic average. Long Only Funds' Relative Wt. (Avg.) is calculated as the average of individual factor constituents' relative weight in funds vs. weight in the index. Long Rank is calculated as the average of ranks of Price / Book, Fwd P/E and Long Only Funds' relative ownership with rank =1 indicating most expensive and most crowded long factor. Short Rank is based on the average of ranks of Price / Book, Fwd P/E and Long Only Funds' relative ownership with rank =1 indicating least expensive and least crowded short factor. Long/Short Rank is based on the average of Long Rank and Short Rank with rank = 1 indicating long / short factor with most downside risk. Fund holdings data as of 12/31/2021. Deeper red corresponds to more crowded and more expensive factors.

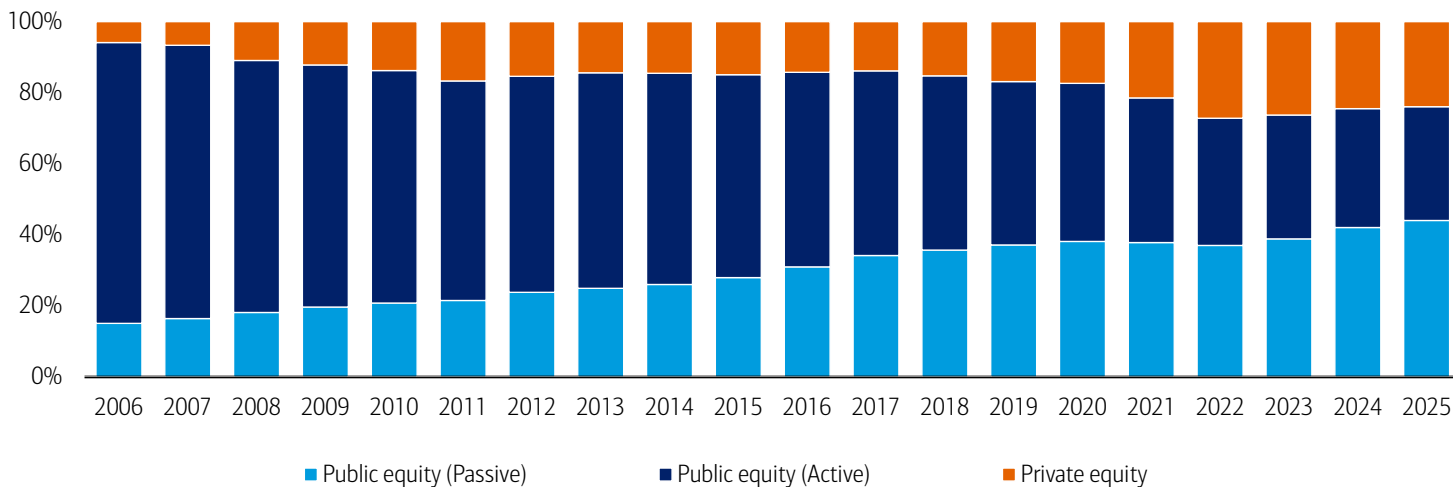


Active vs. passive backdrop

A brain and asset drain from active equity to passive and private equity may indicate less fundamentally driven price discovery, more momentum.

Exhibit 19: Fundamental active equity squeezed out by passive & private

Pension allocation: Public equity (Active), Public equity (Passive)*, Private Equity as a % of total equity, 2006-2025

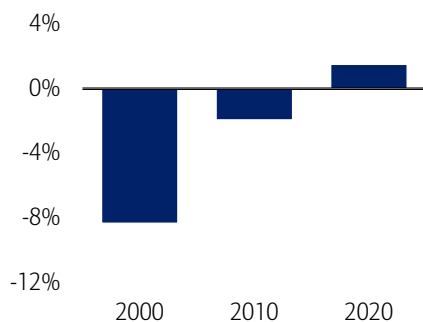


Source: FactSet, BofA US Equity & Quant Strategy. Pensions & Investments Research Center (as of 9/2025), Strategic Insights, SimFund, BofA US Equity & US Quant Strategy. Based on US pension funds within the top 1000 that have available asset allocations. Total equity includes public equity (global, international, and domestic) and private equity. *We make assumptions on mix shift based on SimFund US AUM tracked in passive vs active

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Exhibit 20: Crowded index: S&P realized volatility higher than Russell 2000's during last 5 years' down weeks, unlike 2000-2020

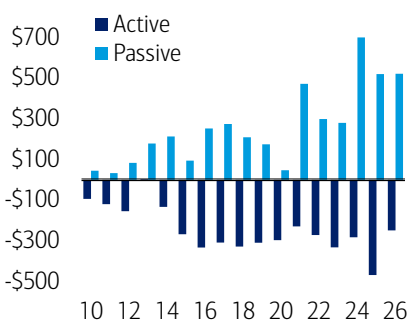
Median S&P 500 volatility minus median Russell 2000 volatility during the 10 worst weeks by decade



Source: BofA US Equity & Quant Strategy, Bloomberg
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Exhibit 21: The norm: active outflows and passive inflows

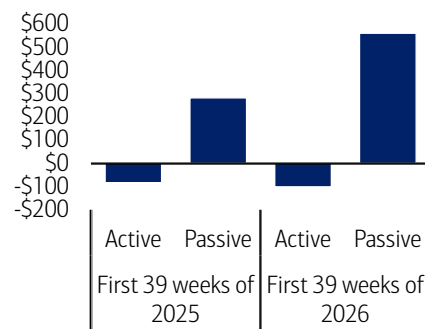
US-mandated equity flows (\$bn); based on funds that report data monthly to EPFR, (2010-2026 as of 8/31/26)



Source: BofA US Equity & Quant Strategy, EPFR
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Exhibit 22: YTD: Active outflows, passive inflows have continued

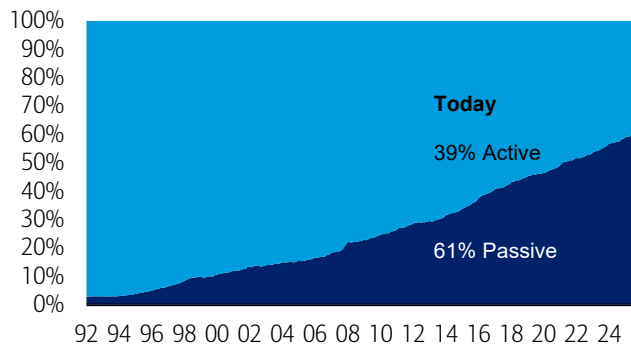
US-mandated equity flows in the first 39 weeks of 2025 and 2026 (\$bn); based on funds that report data weekly to EPFR



Source: BofA US Equity & Quant Strategy, EPFR
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Exhibit 23: Passive is over 60% of AUM

US AUM allocation active vs. passive (as of 8/31/26)

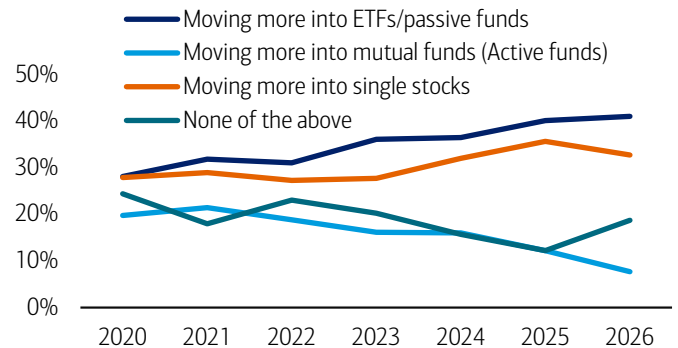


Source: BofA US Equity & Quant Strategy, Strategic Insights SimFund

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Exhibit 24: 2026 GWIM survey: Financial advisors also moving into passive, out of active

2026 Merrill Financial Advisor survey: How are you currently changing your equity allocation?



Source: Wealth Management Marketing Research, BofA US Equity & Quant Strategy

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Exhibit 25: Active share moved lower in September

Median active share ratio of core managers vs. S&P 500 (03/00-09/21/26)

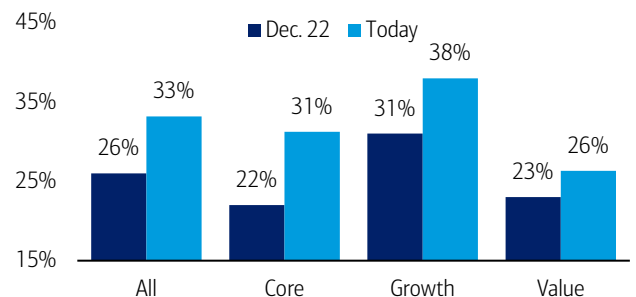


Source: FactSet, BofA US Equity & Quant Strategy. Calculated as the sum of the absolute value of the differences of the weight of each holding in the manager's portfolio versus the weight of each holding in the benchmark index and then dividing by two. See Appendix for more on methodology

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Exhibit 26: Concentration risk in active funds has increased since 2022

Large cap active funds: largest five stock positions as a % of AUM (avg.), priced as of 9/21/26

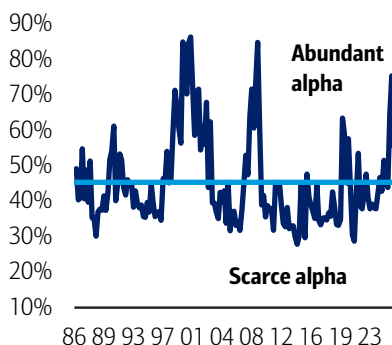


FactSet, BofA US Equity & Quant Strategy

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2026: better backdrop for stock pickers**Exhibit 27: Performance dispersion (i.e., alpha opportunity) is above its long-term average**

S&P 500 performance dispersion (last 3m returns): spread between top/bottom decile (1986-9/30/26)

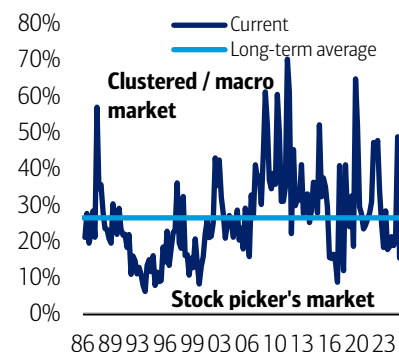


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 28: Low correlations suggest less co-movement on macro, more on stock specifics

Average pair-wise stock correl. based on 90-day periods, daily (as of 9/30/26)

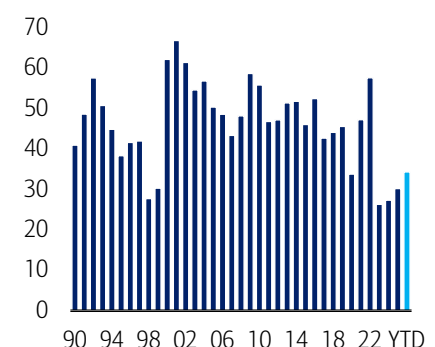


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 29: Risk: Breadth YTD is higher than recent years, but has been lower during recent months than in 1Q

% of S&P 500 stocks outperforming the index (1990-2026 as of 9/23/26)



Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 30: Pick your battles: correlations vs. dispersion by sector

Historical Intra-stock correlation vs. performance spread (3Q86 to 3Q26)



Source: FactSet, BofA US Equity & Quant Strategy

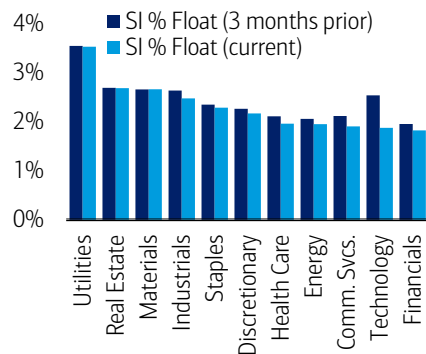
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HF positioning

The short and the long story

Exhibit 31: S&P 500 Utilities is the most shorted sector

Current short-interest as a % of float vs. 3-months prior (as of 9/21/26)

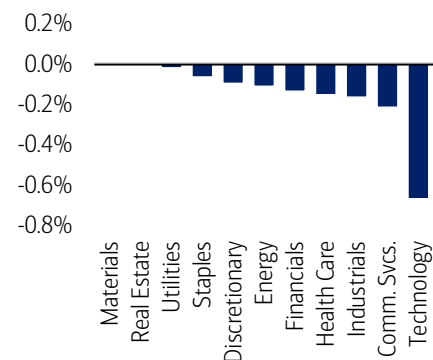


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 32: Technology and Communication Services saw the biggest decreases in short interest over the last 3m

3m change in short interest as a % of float (as of 9/21/26)

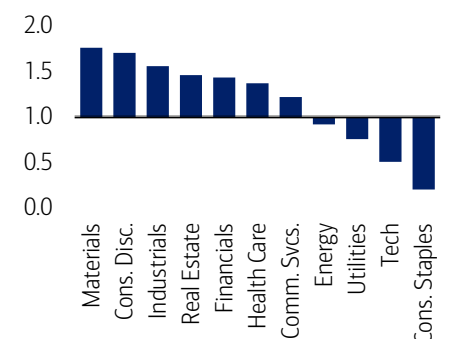


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 33: HFs have the highest net relative exposure (vs. S&P 500) to Materials & Discretionary, lowest to Staples & Tech

HFs' net relative weight vs. S&P 500 by sector (priced as of 9/21/26)



Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 34: Incyte (INCY) has the highest net exposure by HFs

Top 20 S&P 500 stocks by HF net relative exposure, priced as of 9/21/26

Ticker	Company	Sector	HF net relative weight
INCY	Incyte Corporation	Health Care	28.86
AES	AES Corporation	Utilities	23.05
PCG	PG&E Corporation	Utilities	18.02
VRSN	VeriSign, Inc.	Tech	17.70
WBD	Warner Bros. Discovery, Inc. Series A	Comm. Svcs.	16.56
PODD	Insulet Corporation	Health Care	16.24
CNC	Centene Corporation	Health Care	15.40
COO	Cooper Companies, Inc.	Health Care	14.54
TECH	Bio-Techne Corporation	Health Care	14.42
NWSA	News Corporation Class A	Comm. Svcs.	14.36
IEX	IDEX Corporation	Industrials	13.50
KVUE	Kenvue, Inc.	Cons. Staples	13.41
GDDY	GoDaddy, Inc. Class A	Tech	12.37
NSC	Norfolk Southern Corporation	Industrials	11.60
DPZ	Domino's Pizza, Inc.	Cons. Disc.	11.41
CVNA	Carvana Co. Class A	Cons. Disc.	11.12
JBHT	J.B. Hunt Transport Services, Inc.	Industrials	11.11
IVZ	Invesco Ltd.	Financials	10.48
CPT	Camden Property Trust	Real Estate	10.42
EXPE	Expedia Group, Inc.	Cons. Disc.	10.31

Source: FactSet, BofA US Equity & Quant Strategy

This screen is not a recommended list either individually or as a group of stocks. Investors should consider the fundamentals of the companies and their own individual circumstances/objectives before making any investment decision.

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Exhibit 35: Skyworks Solutions (SWKS) is the most shorted stock

Top S&P 500 stocks by short Interest (by % of float), priced as of 9/21/26

Ticker	Company	Sector	Short interest as a % of float
SWKS	Skyworks Solutions, Inc.	Tech	23.0
FOXA	Fox Corporation Class A	Comm. Svcs.	22.6
TTD	Trade Desk, Inc. Class A	Comm. Svcs.	20.5
NCLH	Norwegian Cruise Line Holdings Ltd.	Cons. Disc.	18.8
ECHO	EchoStar Corporation Class A	Comm. Svcs.	17.4
TAP	Molson Coors Beverage Company Class B	Cons. Staples	17.0
KMB	Kimberly-Clark Corporation	Cons. Staples	15.1
SMCI	Super Micro Computer, Inc.	Tech	14.2
RDDT	Reddit, Inc. Class A	Comm. Svcs.	13.9
AKAM	Akamai Technologies, Inc.	Tech	13.2
LULU	lululemon athletica inc.	Cons. Disc.	12.8
IT	Gartner, Inc.	Tech	12.6
FDS	FactSet Research Systems Inc.	Financials	12.6
TROW	T. Rowe Price Group, Inc.	Financials	12.3
COIN	Coinbase Global, Inc. Class A	Financials	12.3
LYV	Live Nation Entertainment, Inc.	Comm. Svcs.	10.2
TKO	TKO Group Holdings, Inc. Class A	Comm. Svcs.	10.2
MRNA	Moderna, Inc.	Health Care	9.8
OMC	Omnicom Group Inc	Comm. Svcs.	9.7
LNT	Alliant Energy Corporation	Utilities	9.6

Source: FactSet, BofA US Equity & Quant Strategy

This screen is not a recommended list either individually or as a group of stocks. Investors should consider the fundamentals of the companies and their own individual circumstances/objectives before making any investment decision.

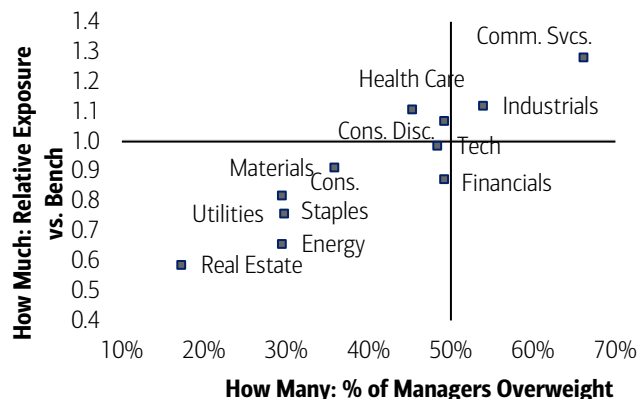
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LO positioning

Exhibit 36: LOs are most overweight Comm. Svcs., most underweight Real Estate

LO sector positioning (priced as of 9/21/26)

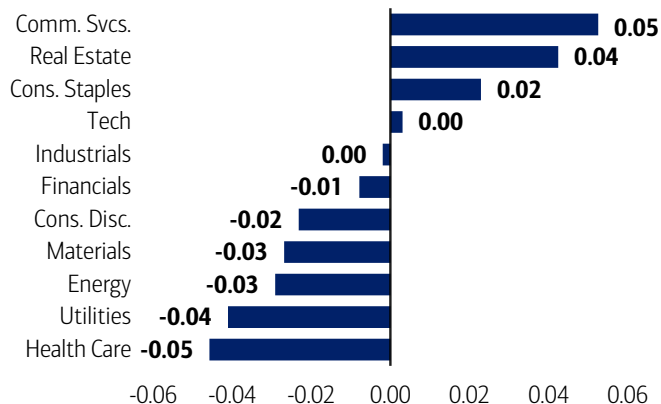


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 37: Last 3 months: LOs added exposure to Real Estate and Consumer Discretionary, decreased exposure to Utilities

3m relative weight change: LOs (priced as of 9/21/26)

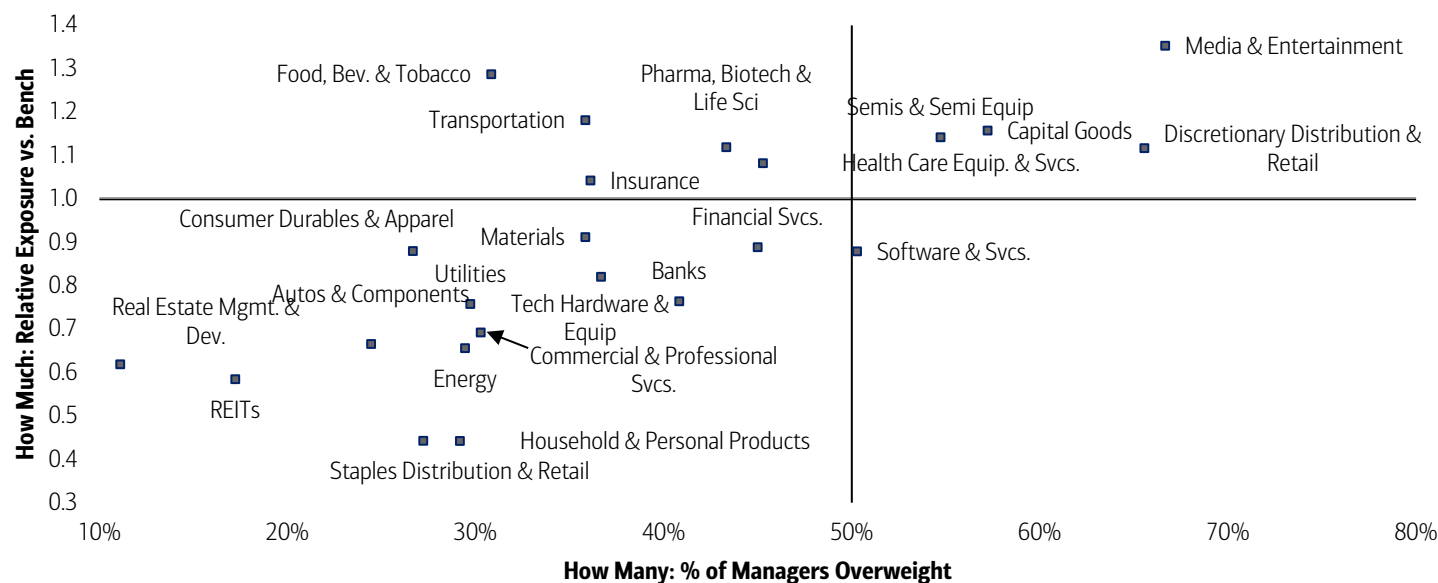


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 38: LOs are most broadly overweight Discretionary Distribution & Retail and Media & Entertainment, most broadly underweight Telecom Services, Equity REITs, Real Estate Management & Development

LO industry group positioning (priced as of 9/21/26)



Source: FactSet, BofA US Equity & Quant Strategy

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US Sectors

Most crowded and neglected S&P 500 stocks

Note: stock-level ownership data for S&P 500 and Russell 1000 stocks based on this methodology are available upon request.

Exhibit 39: Most broadly overweight stock within each sector by long only funds

Priced as of 9/21/26

Sector	Ticker	Company Name	Rel Wt	% of Funds Owning
Communication Services	META	Meta Platforms Inc Class A	1.63	81.1%
Consumer Discretionary	SBUX	Starbucks Corporation	2.65	23.1%
Consumer Staples	PM	Philip Morris International Inc.	2.88	25.0%
Energy	COP	ConocoPhillips	1.64	28.1%
Financials	SCHW	Charles Schwab Corp	1.73	30.0%
Health Care	VRTX	Vertex Pharmaceuticals Inc.	2.72	28.1%
Industrials	BA	Boeing Company	2.23	30.6%
Information Technology	AVGO	Broadcom Inc.	1.60	78.1%
Materials	CTVA	Corteva Inc	1.70	12.2%
Real Estate	WELL	Welltower Inc.	1.71	17.2%
Utilities	CEG	Constellation Energy Corporation	1.73	17.8%

Source: FactSet, BofA US Equity & Quant Strategy. Most crowded stock in each sector based on an average rank score of relative weight and % of funds owning. This screen is not a recommended list either individually or as a of stocks. Investors should consider the fundamentals of the companies and their own individual circumstances/objectives before making any investment decision. Rel wt = relative weight.

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Exhibit 40: Most broadly underweight stock within each sector by long only funds

Priced as of 9/21/26

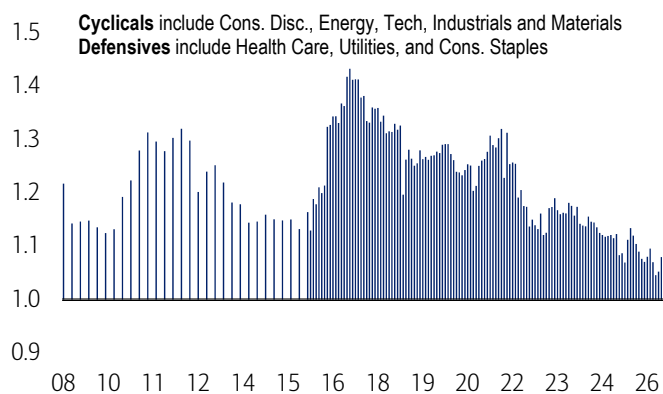
Sector	Ticker	Company Name	Rel Wt	% of Funds Owning
Communication Services	NWS	News Corporation Class B	0.00	0.8%
Consumer Discretionary	HAS	Hasbro, Inc.	0.01	1.9%
Consumer Staples	HRL	Hormel Foods Corporation	0.00	1.4%
Energy	TPL	Texas Pacific Land Corp.	0.02	4.2%
Financials	ERIE	Erie Indemnity Co. Cl. A	0.00	1.9%
Health Care	HSIC	Henry Schein, Inc.	0.02	1.1%
Industrials	GNRC	Generac Holdings Inc.	0.05	3.1%
Information Technology	TRMB	Trimble Inc.	0.01	2.2%
Materials	AMCR	Arcelor PLC	0.00	0.8%
Real Estate	KIM	Kimco Realty Corporation	0.02	1.4%
Utilities	ES	Eversource Energy	0.05	3.3%

Source: FactSet, BofA US Equity & Quant Strategy. Most neglected stock in each sector based on an average rank score of relative weight and % of funds owning. This screen is not a recommended list either individually or as a of stocks. Investors should consider the fundamentals of the companies and their own individual circumstances/objectives before making any investment decision. Rel wt = relative weight.

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Exhibit 41: Long only funds' exposure to cyclical vs. defensive sectors is near an all-time low

Long only fund relative positioning in cyclical vs. defensive sectors, priced as of 9/21/26

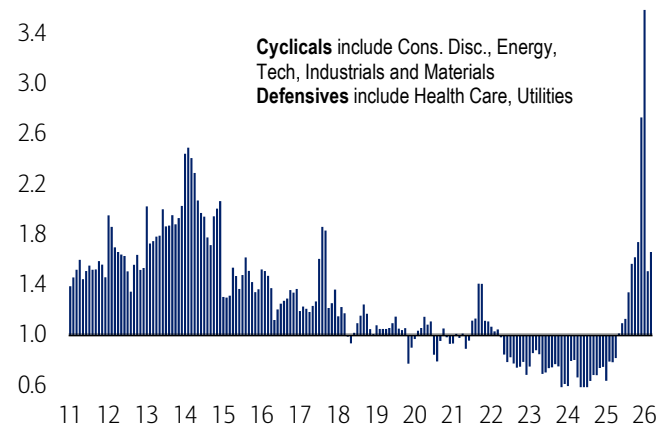


Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Exhibit 42: ... while HF's exposure to cyclicals vs. defensives is down from all-time highs

HF's cyclical vs. defensive positioning, priced as of 9/21/26



Source: FactSet, BofA US Equity & Quant Strategy

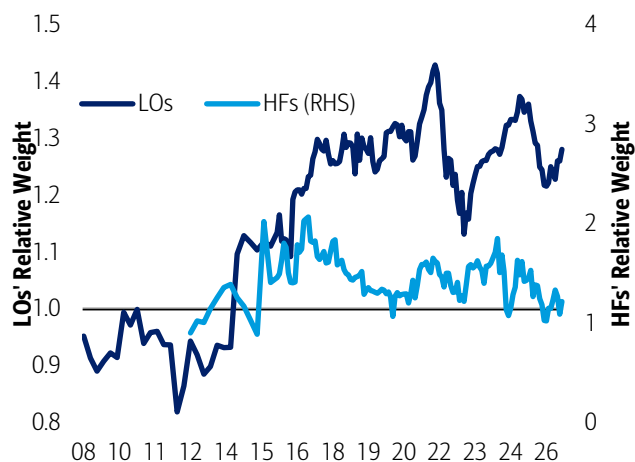
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Communication Services

Exhibit 43: LOs are overweight Communication Services but exposure is well off recent highs; HF's are now slightly overweight

Funds' rel. weight in Comm. Svcs. vs. S&P 500 index, priced as of 9/21/26

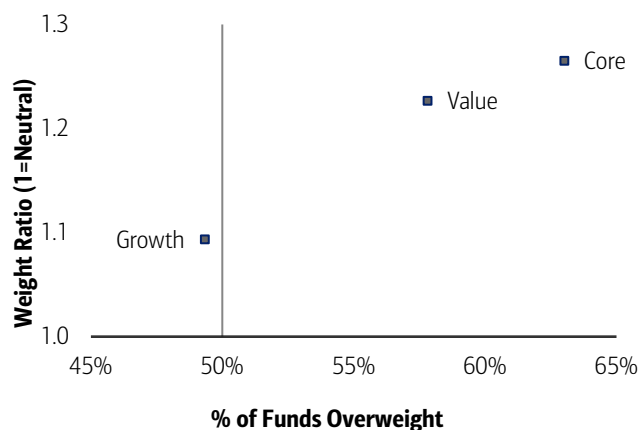


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 44: All styles are overweight Communication Services

LOs' positioning in Communication Services sector, priced as of 9/21/26

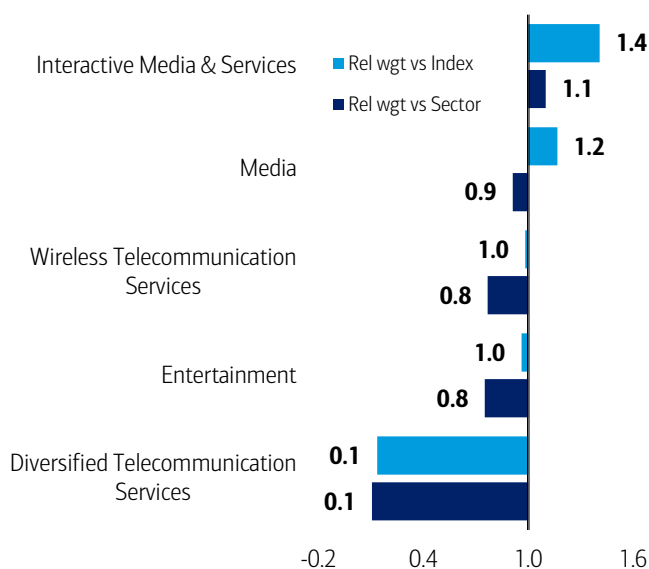


Source: BofA US Equity & Quant Strategy, FactSet Ownership. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 45: LOs are most overweight Interactive Media & Services

LO Industry Exposure (All Styles), priced as of 9/21/26

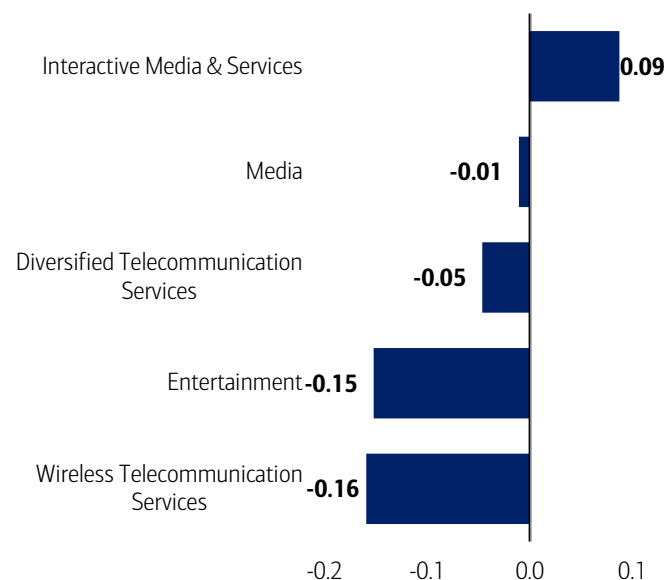


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 46: Last 3m: Interactive Media & Services saw the largest increase in relative weight

3m change in LOs' relative weight in Communication Services industries, priced as of 9/21/26



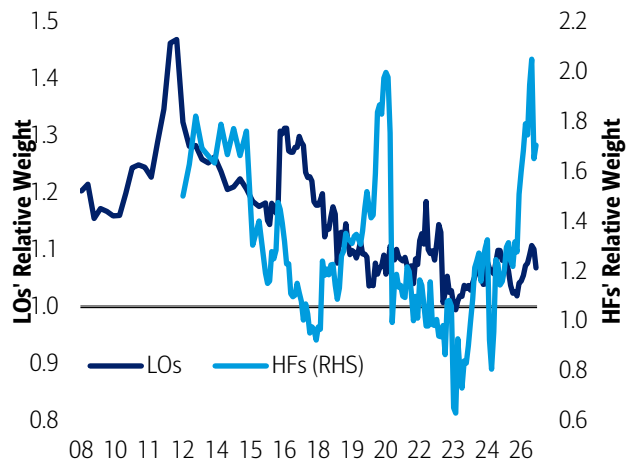
Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Consumer Discretionary

Exhibit 47: LO exposure to Discretionary is low vs. history, HF exposure has increased this year but is off all-time highs

Funds' rel. weight in Discretionary vs. S&P 500 index, priced as of 9/21/26

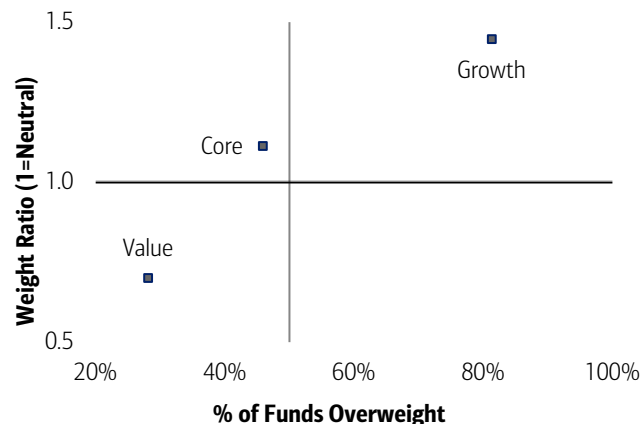


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 48: Core and Growth managers are overweight Consumer Discretionary

LOs' positioning in Consumer Discretionary sector, priced as of 9/21/26

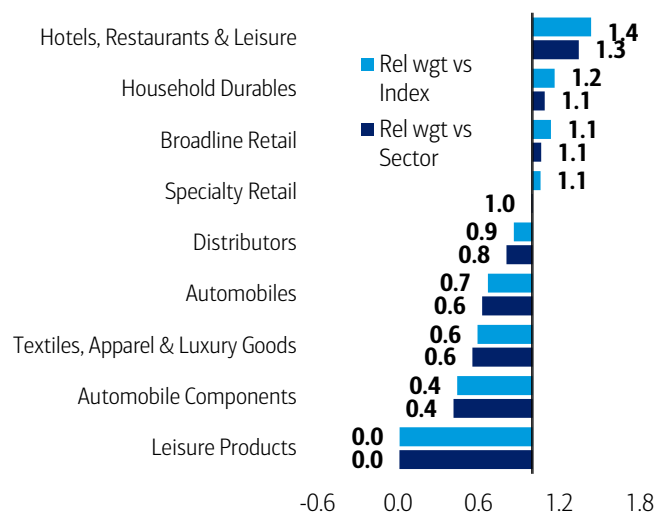


Source: BofA US Equity & Quant Strategy, FactSet Ownership. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 49: LOs are most overweight Hotels, Restaurants & Leisure

LO Industry Exposure (All Styles), priced as of 9/21/26

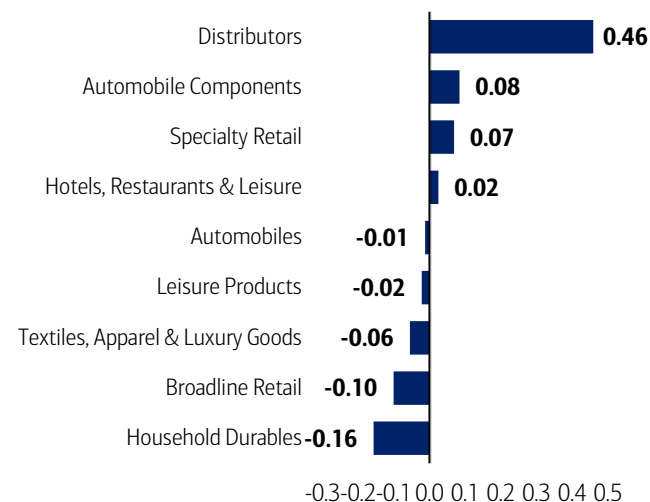


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 50: Last 3m: Distributors saw the largest increase in relative weight

3m change in LOs' relative weight in Consumer Discretionary industries, priced as of 9/21/26



Source: BofA US Equity & Quant Strategy, FactSet Ownership

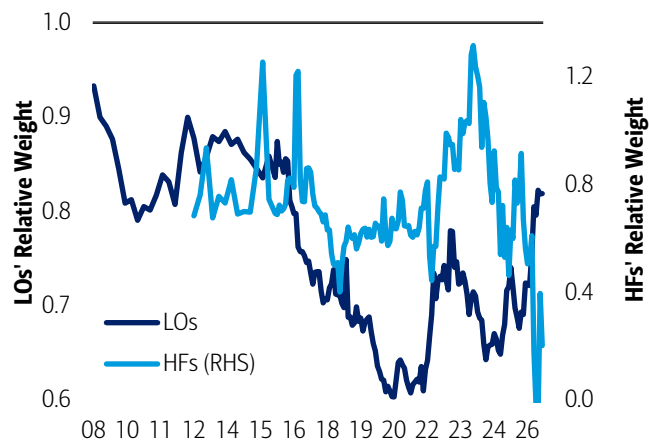
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Consumer Staples

Exhibit 51: LOs increasing Staples exposure; HF's exposure off lows

Funds' rel. weight in Staples vs. S&P 500 index, priced as of 9/21/26

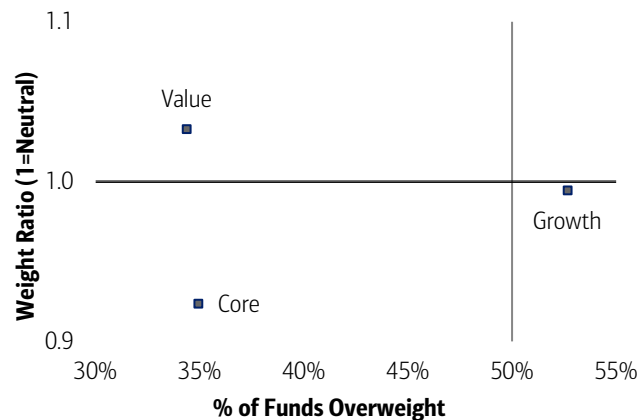


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 52: Value managers are overweight Consumer Staples

LOs' positioning in Consumer Staples sector, priced as of 9/21/26

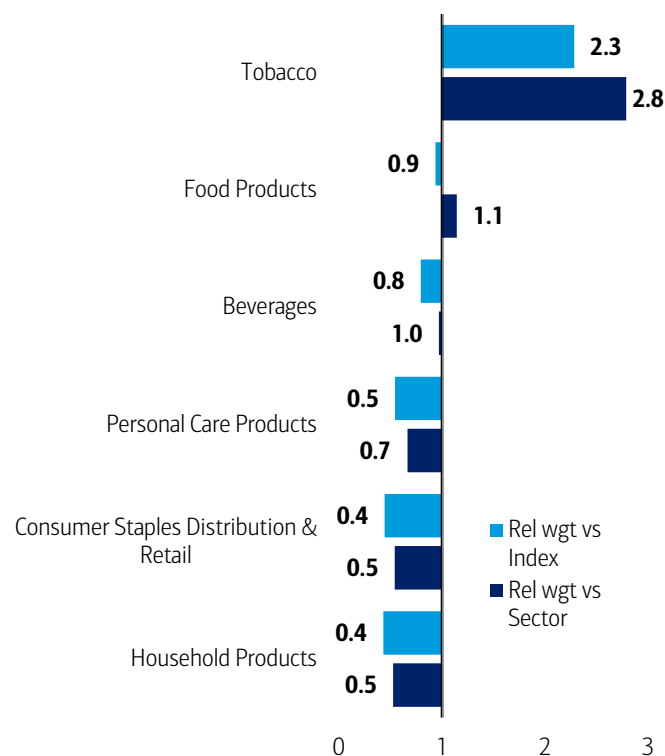


Source: BofA US Equity & Quant Strategy, FactSet Ownership. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 53: LOs are most overweight Tobacco

LO Industry Exposure (All Styles), priced as of 9/21/26

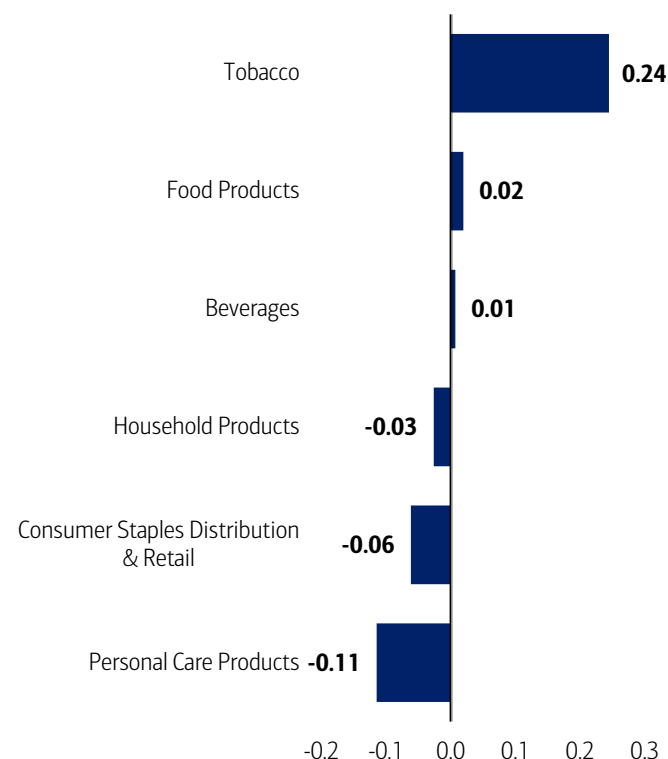


Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Exhibit 54: Last 3m: Tobacco saw the biggest increase in relative weight

3m change in LOs' relative weight in Consumer Staples industries, priced as of 9/21/26



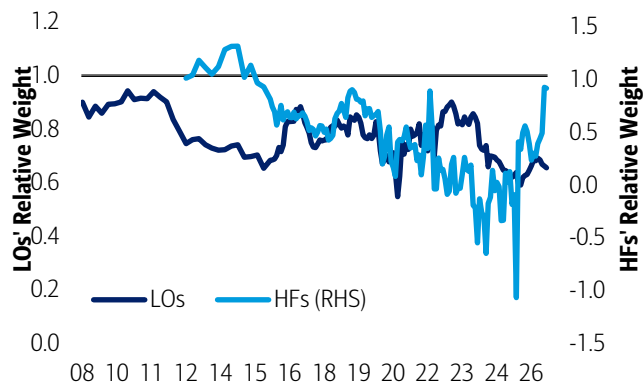
Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Energy

Exhibit 55: LOs' exposure to Energy is up YTD but off recent highs; HF's exposure is just off highest level since 2022

Funds' rel. weight in Energy vs. S&P 500 index, priced as of 9/21/26

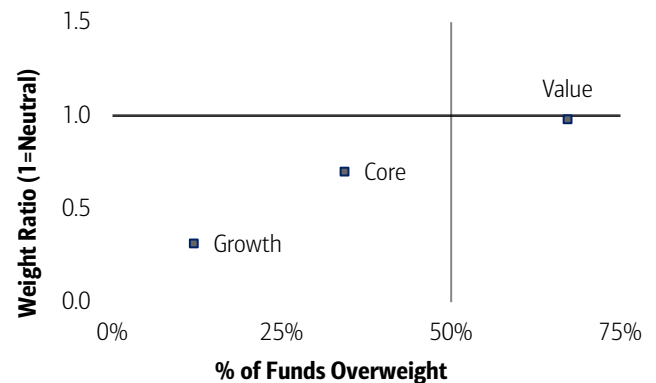


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 56: Both Core and Growth managers are underweight Energy

Fund Managers' positioning in Energy sector, priced as of 9/21/26

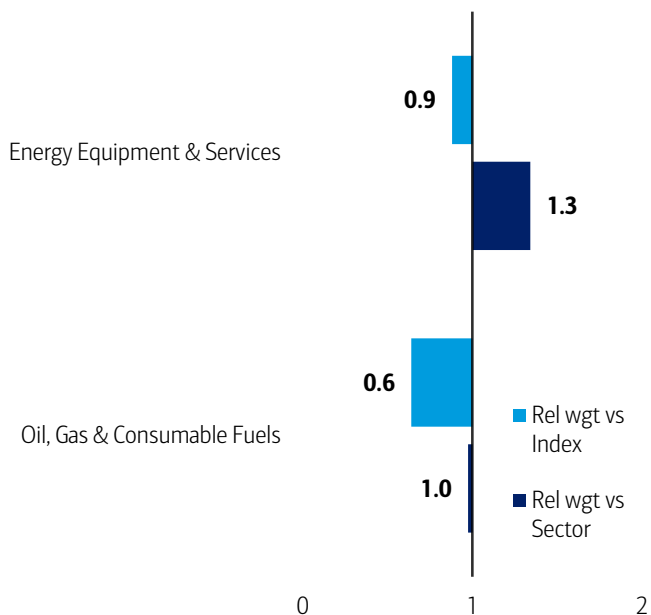


Source: BofA US Equity & Quant Strategy, FactSet Ownership. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 57: Fund managers are underweight Oil, Gas & Consumable Fuels

Industry Exposure (All Styles), priced as of 9/21/26

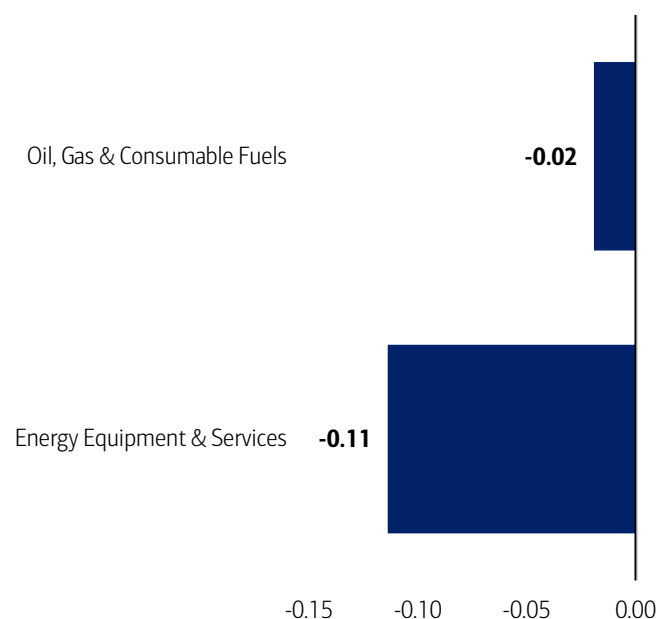


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 58: Last 3m: Energy Equipment & Services saw a decrease in relative weight

3m change in LOs' relative weight in Energy industries, priced as of 9/21/26



Source: BofA US Equity & Quant Strategy, FactSet Ownership

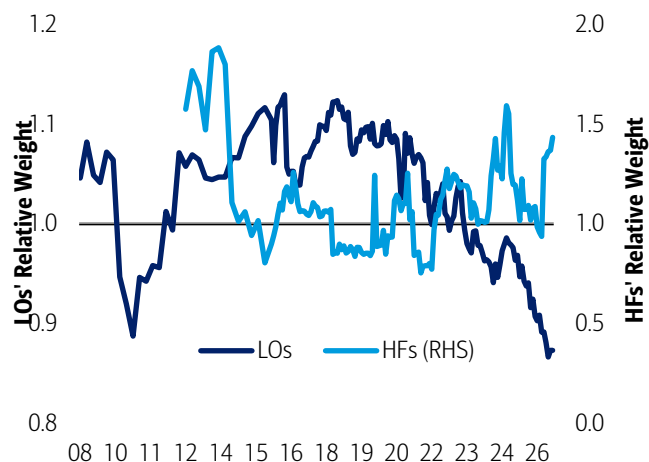
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Financials

Exhibit 59: LOs' exposure to Financials just off an all-time low; HF's' exposure jumped higher

Funds' rel. weight in Financials vs. S&P 500 index, priced as of 9/21/26

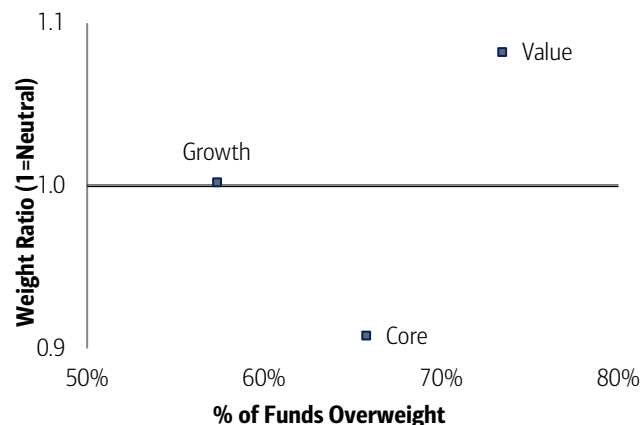


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 60: Value funds are overweight Financials

Fund Managers' positioning in Financials sector, priced as of 9/21/26

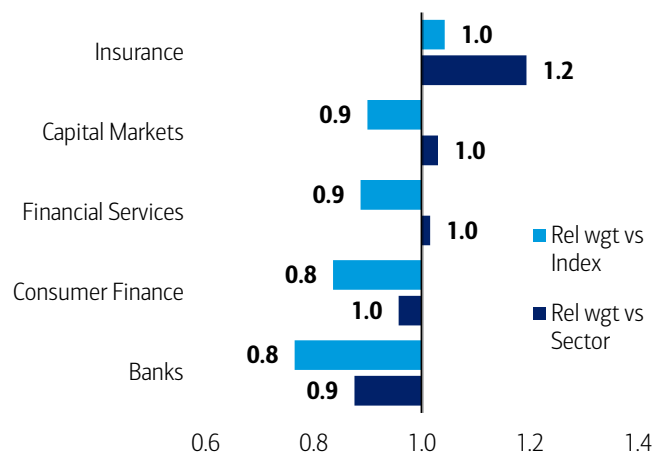


Source: BofA US Equity & Quant Strategy, FactSet Ownership. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

BofA GLOBAL RESEARCH

Exhibit 61: Fund managers are most overweight Insurance

Industry Exposure (All Styles), priced as of 9/21/26

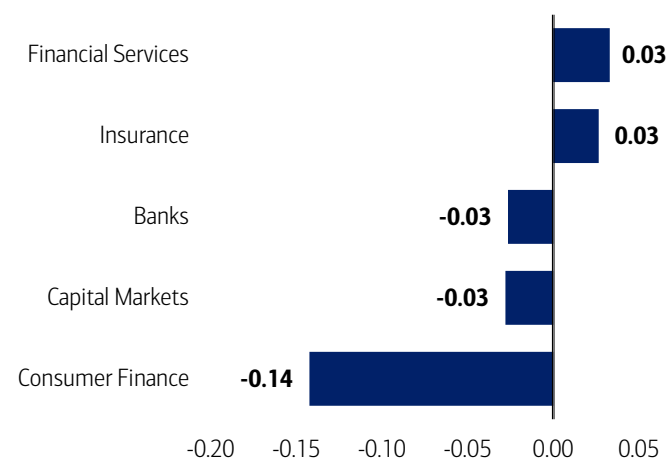


Source: BofA US Equity & Quant Strategy, FactSet Ownership

BofA GLOBAL RESEARCH

Exhibit 62: Last 3m: Consumer Finance saw the largest decrease in relative weight

3m change in LOs' relative weight in Financials industries, priced as of 9/21/26



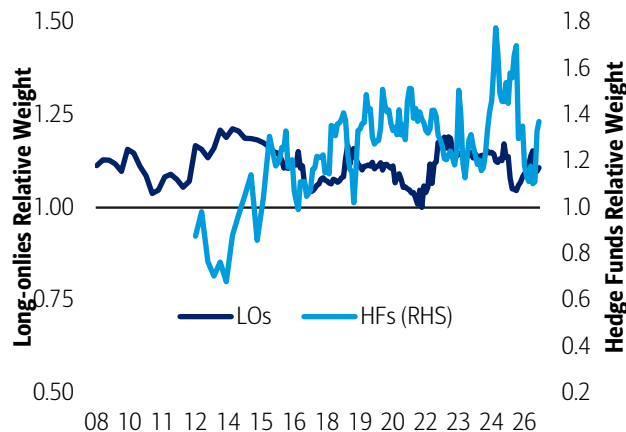
Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Health Care

Exhibit 63: LOs' exposure to Health Care is down from recent highs; HF's exposure is rising

Funds' rel. weight in Health Care vs. S&P 500 index, priced as of 9/21/26

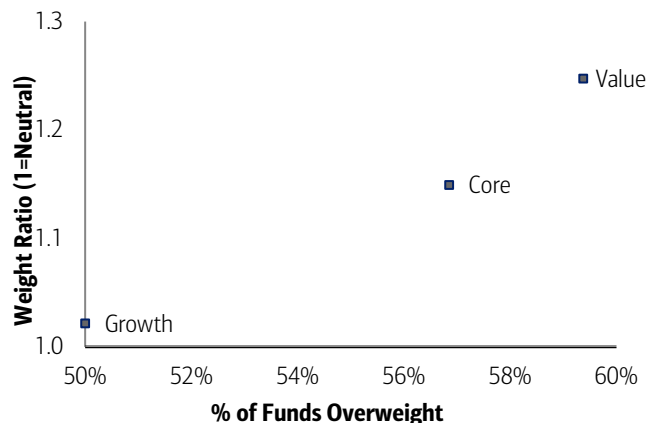


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 64: All styles are overweight Health Care

Fund Managers' positioning in Health Care sector, priced as of 9/21/26

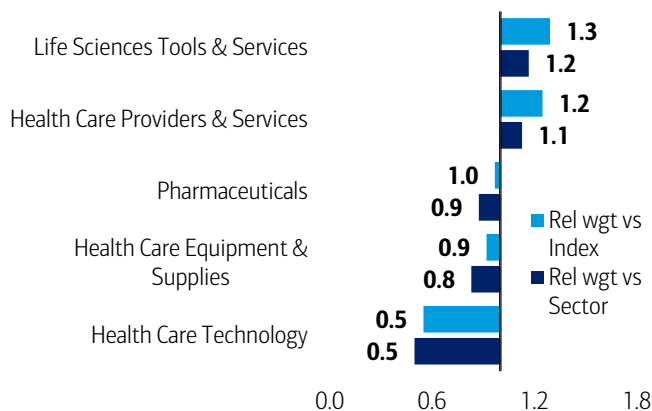


Source: BofA US Equity & Quant Strategy, FactSet Ownership. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 65: Fund managers are most overweight Life Sciences Tools & Services

Industry Exposure (All Styles), priced as of 9/21/26

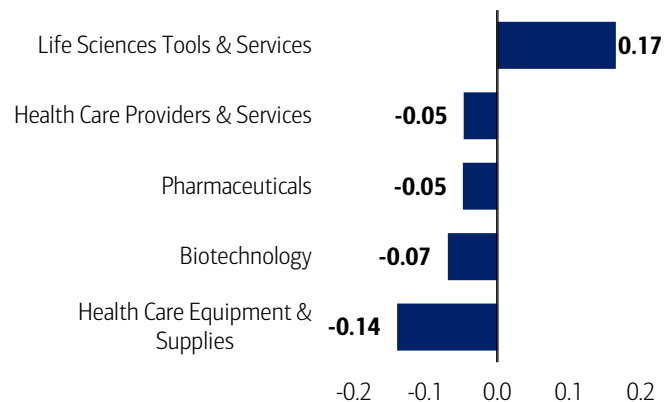


Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Exhibit 66: Last 3m: Life Sciences Tools & Services saw the largest increase in relative weight

3m change in LOs' relative weight in Health Care industries, priced as of 9/21/26



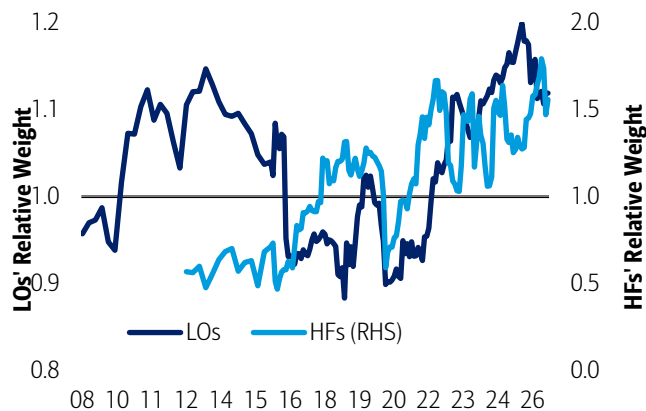
Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Industrials

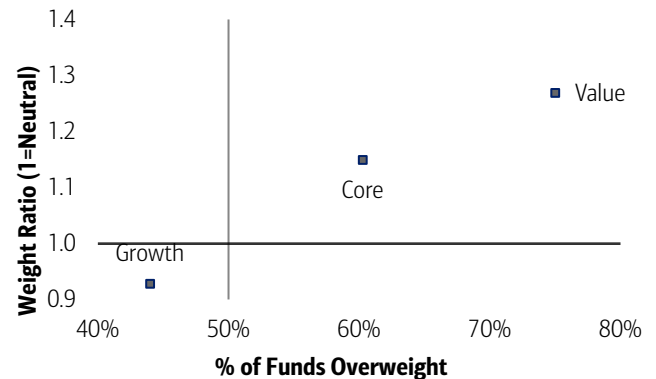
Exhibit 67: Both LOs' and HF's exposure to Industrials is elevated vs. history, but LOs' exposure is well off the peak reached last summer
Funds' rel. weight in Industrials vs. S&P 500 index, priced as of 9/21/26



Source: FactSet, BofA US Equity & Quant Strategy

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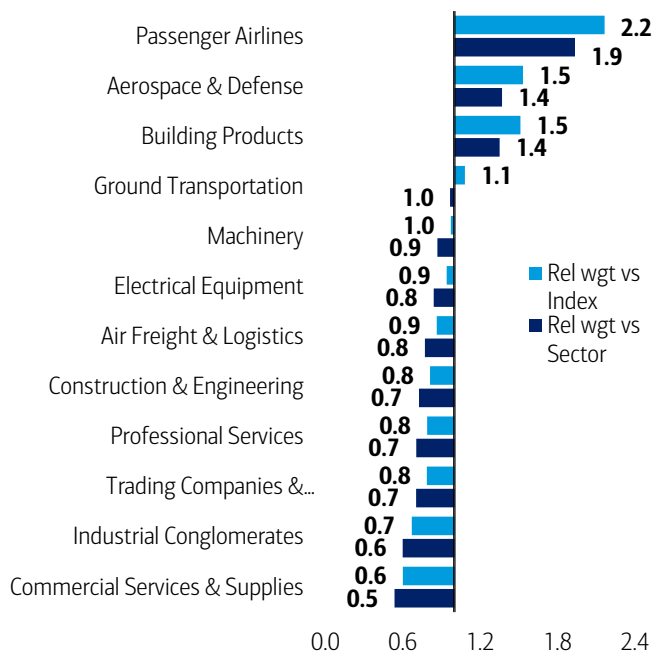
Exhibit 68: Core and Value managers are overweight Industrials
Fund Managers' positioning in Industrials sector, priced as of 9/21/26



Source: FactSet, BofA US Equity & Quant Strategy. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 69: Fund managers are most overweight Passenger Airlines
Industry Exposure (All Styles), priced as of 9/21/26

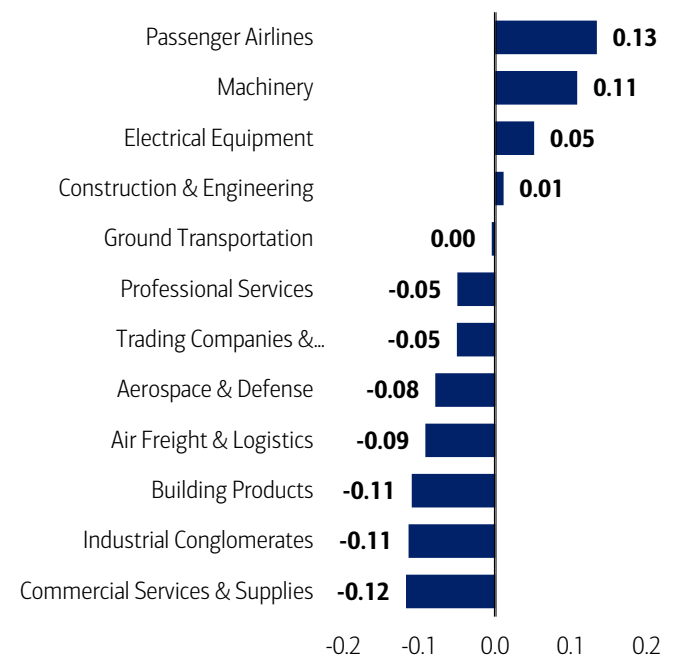


Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Exhibit 70: Last 3m: Passenger Airlines saw the largest increase in relative weight

3m change in LOs' relative weight in Industrials industries, priced as of 9/21/26



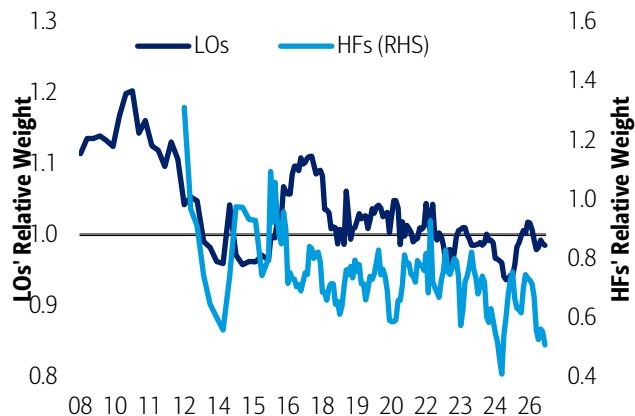
Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Information Technology

Exhibit 71: HFIs are deeply underweight Tech while LOs are near marketweight, with exposure light vs. history

Funds' rel. weight in Tech vs. S&P 500 index, priced as of 9/21/26

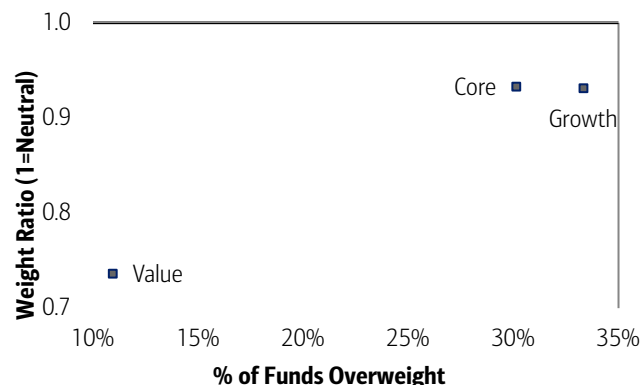


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 72: Value funds have the lowest exposure to Info Tech relative to their benchmark

Fund Managers' positioning in Technology sector, priced as of 9/21/26

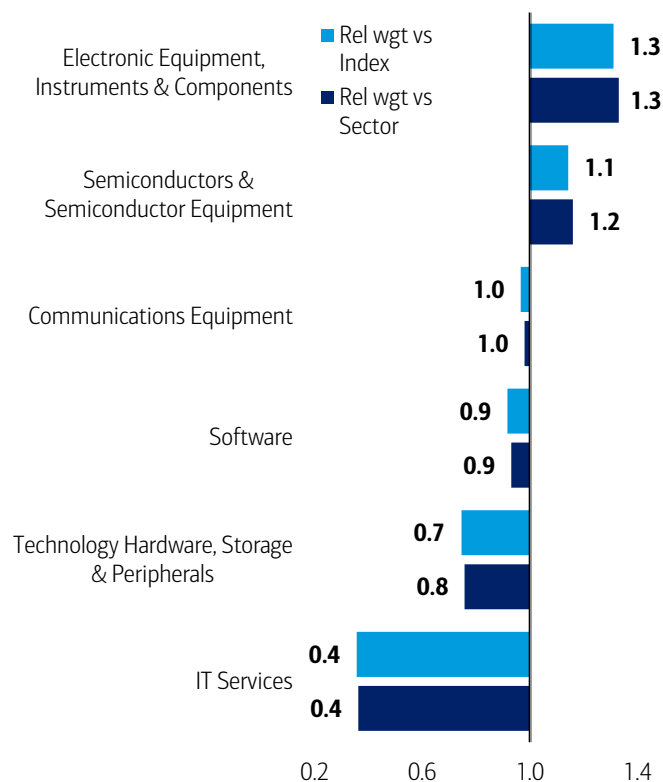


Source: FactSet, BofA US Equity & Quant Strategy. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 73: Fund managers are most overweight Electronic Equipment, Instruments & Components

Industry Exposure (All Styles), priced as of 9/21/26

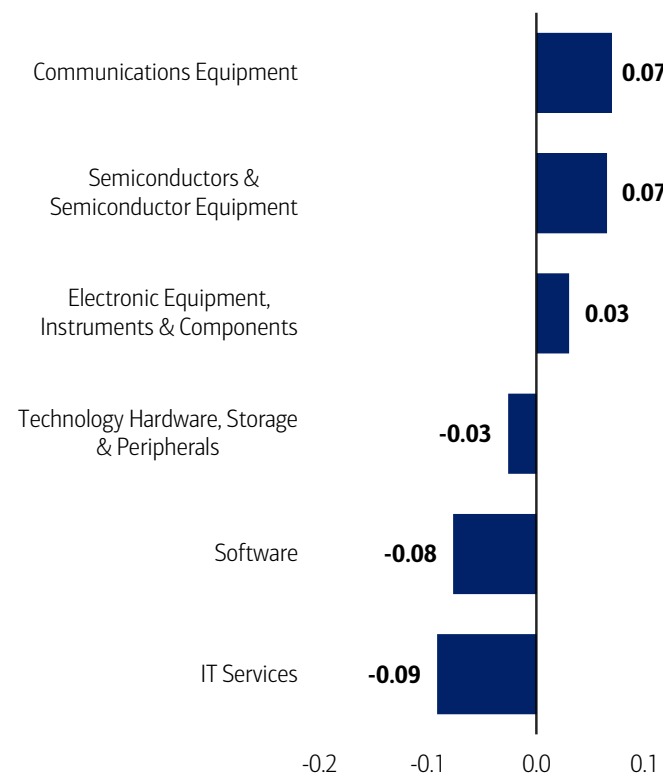


Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Exhibit 74: Last 3m: Communications Equipment saw the largest increase in relative weight

3m change in LOs' relative weight in Information Technology industries, priced as of 9/21/26



Source: BofA US Equity & Quant Strategy, FactSet Ownership

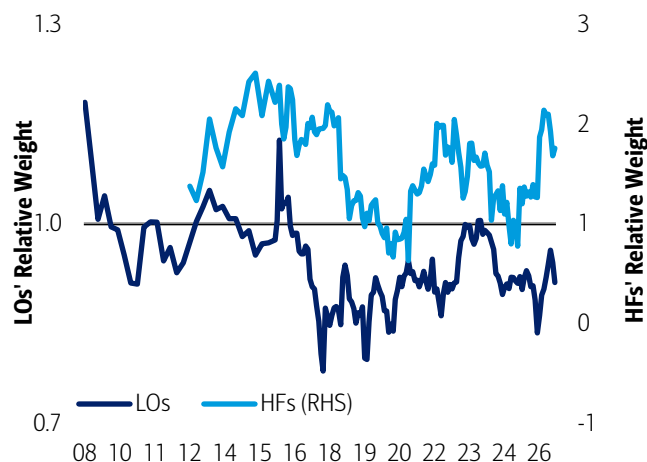
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Materials

Exhibit 75: LOs' exposure to Materials is low vs. history; HF exposure is elevated but off recent highs

Funds' rel. weight in Materials vs. S&P 500 index, priced as of 9/21/26

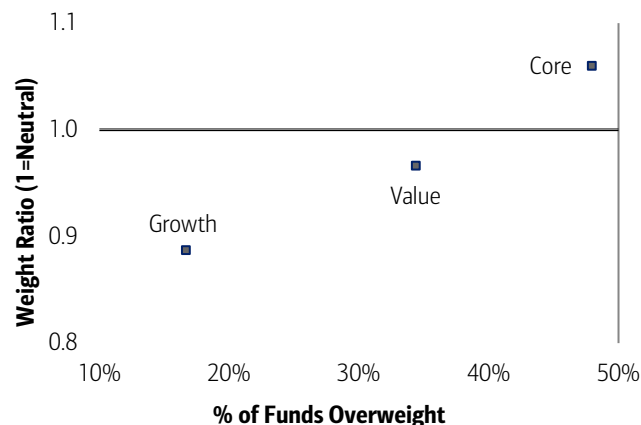


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 76: Core managers are overweight Materials

Fund Managers' positioning in Materials sector, priced as of 9/21/26

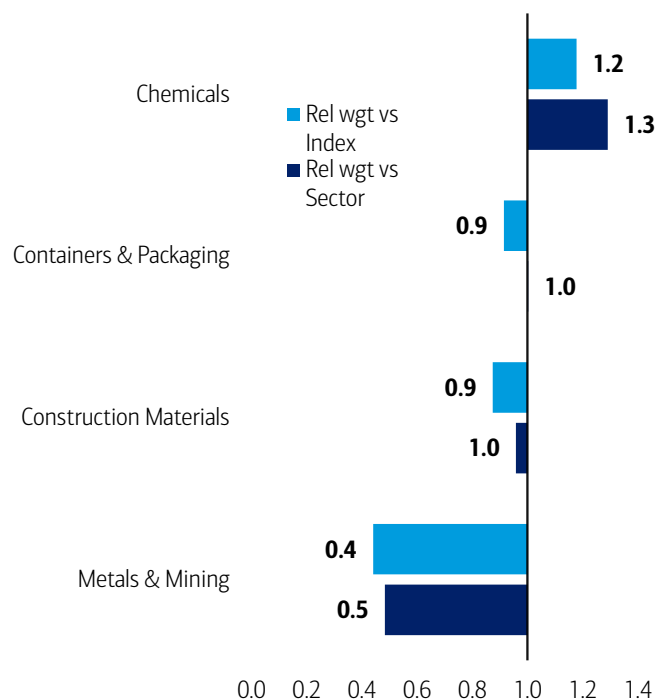


Source: BofA US Equity & Quant Strategy, FactSet Ownership. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 77: Fund managers are overweight Chemicals

LO Industry Exposure (All Styles), priced as of 9/21/26

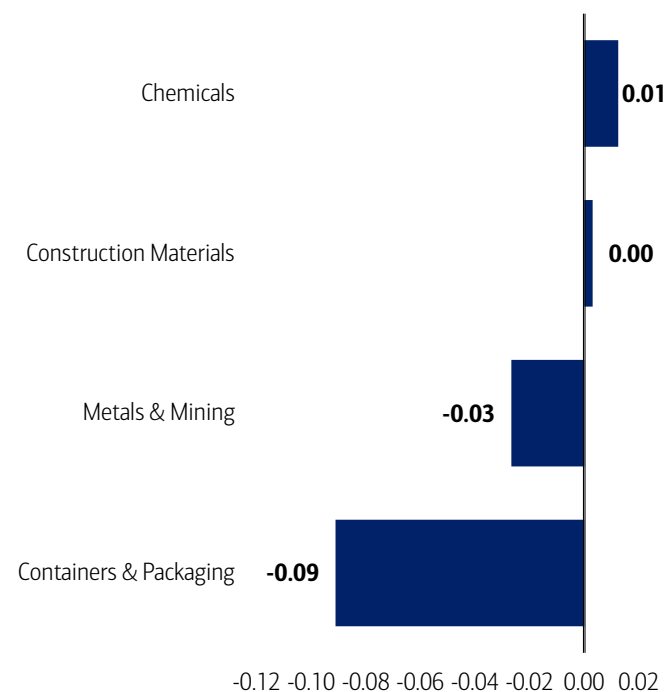


Source: BofA US Equity & US Quant Strategy

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Exhibit 78: Last 3m: Chemicals saw the largest increase in relative weight

3m change in LOs' relative weight in Materials industries, priced as of 9/21/26



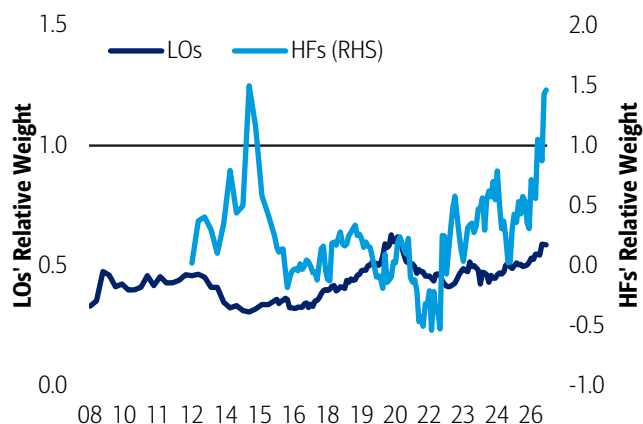
Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Real Estate

Exhibit 79: LOs are underweight Real Estate; HF's exposure is near an all-time high

Funds' rel. weight in Real Estate vs. S&P 500 index, priced as of 9/21/26

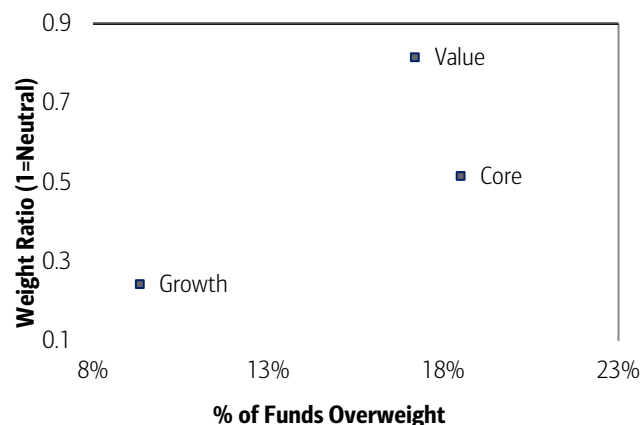


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 80: All styles are underweight Real Estate

Fund Managers' positioning in Real Estate sector, priced as of 9/21/26

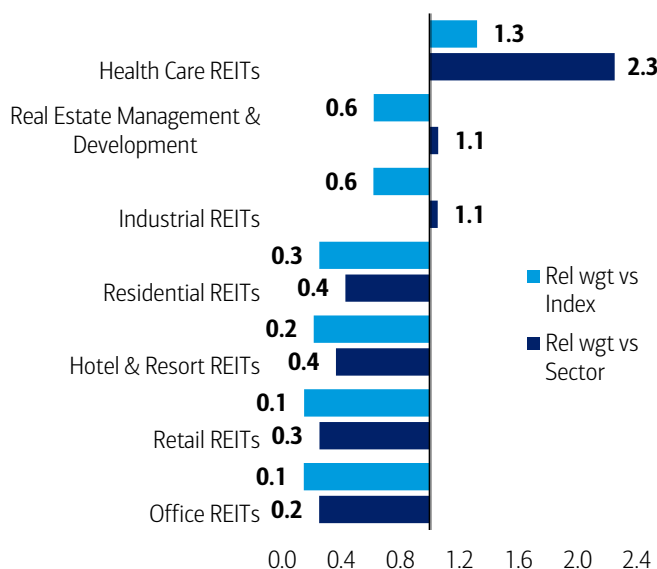


Source: BofA US Equity & Quant Strategy, FactSet Ownership. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 81: Fund managers are most overweight Health Care REITs vs the index

Industry Exposure (All Styles), priced as of 9/21/26

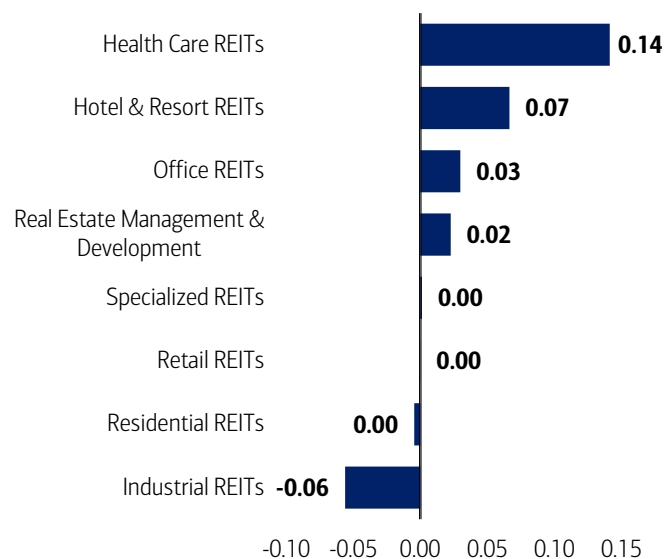


Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Exhibit 82: Last 3m: Health Care REITs saw the largest increase in relative weight

3m change in LOs' relative weight in Real Estate industries, priced as of 9/21/26



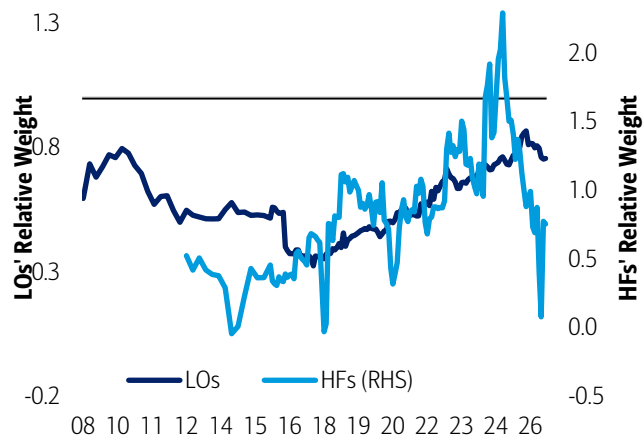
Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Utilities

Exhibit 83: LOs' exposure to Utilities is elevated vs. history; HF's exposure has declined since its peak in late 2024 but is off recent lows
Funds' rel. weight in Utilities vs. S&P 500 index, priced as of 9/21/26

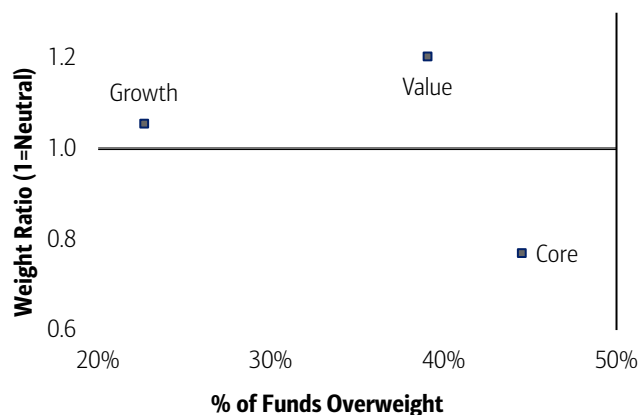


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 84: Growth and Value funds are overweight Utilities while Core funds are underweight

Fund Managers' positioning in Utilities Sector, priced as of 9/21/26

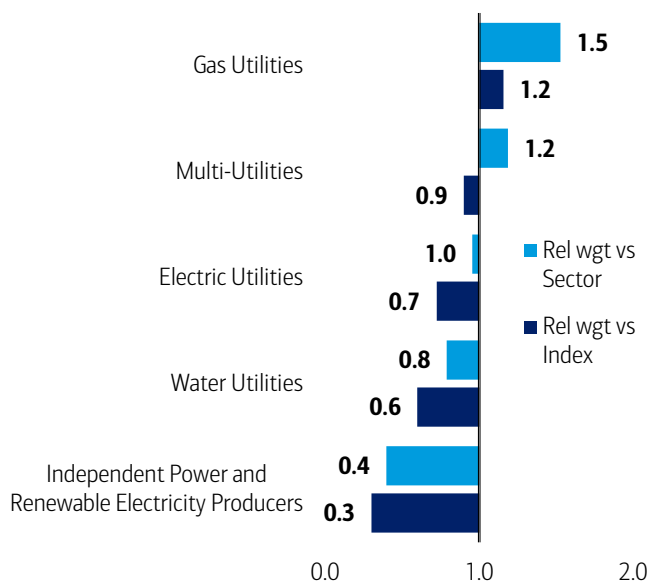


Source: BofA US Equity & Quant Strategy, FactSet Ownership. Benchmarks used: Russell 1000 Growth for Growth funds; Russell 1000 Value for Value funds; S&P 500 for Core funds.

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Exhibit 85: Fund managers are most overweight Gas Utilities

Industry Exposure (All Styles), priced as of 9/21/26

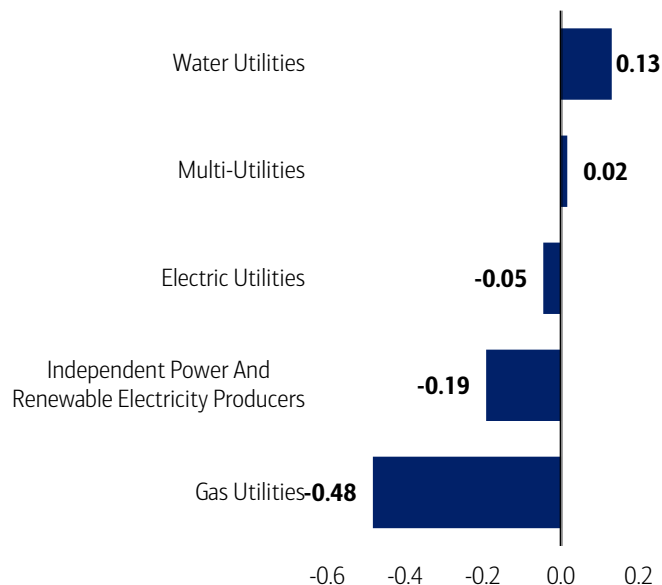


Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Exhibit 86: Last 3m: Water Utilities saw the largest increase in relative weight

3m change in LOs' relative weight in Utilities industries, priced as of 9/21/26



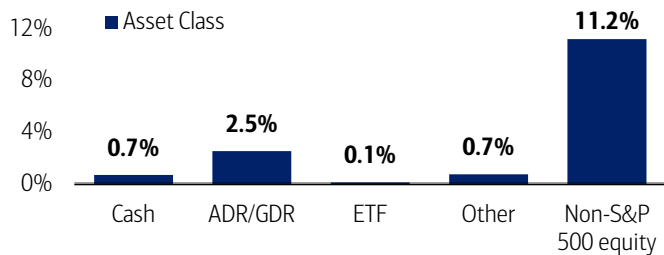
Source: BofA US Equity & Quant Strategy, FactSet Ownership

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Asset allocations

Exhibit 87: Large cap managers hold ~15% of AUM outside of S&P 500

Other asset classes as a % of fund AUM for all large cap LOs, priced as of 9/21/26

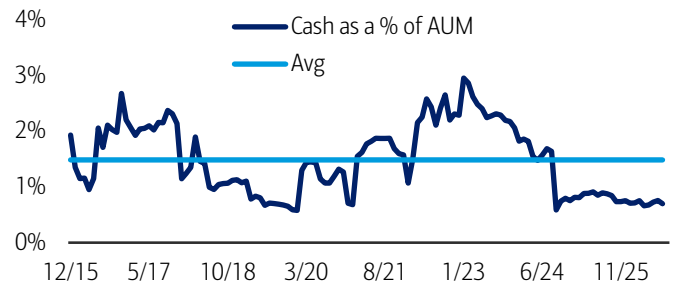


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 88: Cash is near a low in our data history

LOs' cash level as a % of their AUM (2015 to 9/21/26)



Source: FactSet, BofA US Equity & Quant Strategy

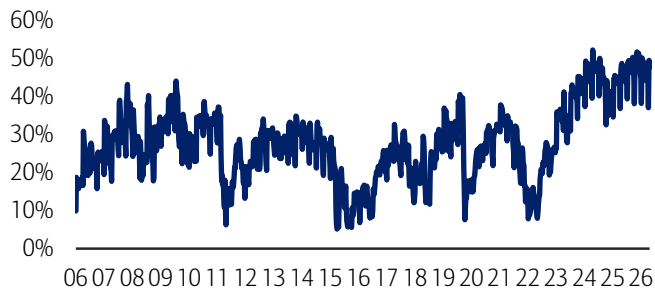
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Commitment of Traders positioning

We track net futures positions from Commitments of Traders (COT) data published by the Commodity Futures Trading Commission (CFTC).

Exhibit 89: Asset managers' net long positioning in S&P 500 futures is elevated

Asset managers' net positions in the S&P 500 e-mini futures as % of total open interest (2006-9/29/26)

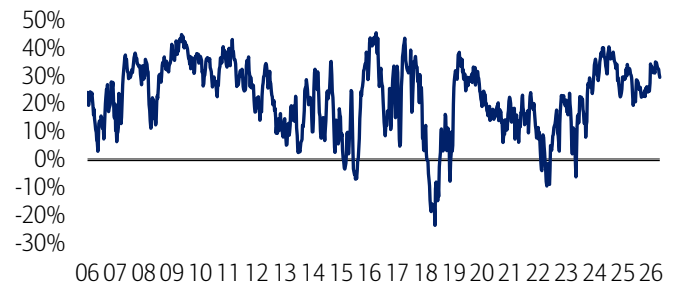


Source: Bloomberg, CFTC, BofA US Equity & Quant Strategy

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Exhibit 90: Managed money positioning in gold is elevated vs. history but off recent highs

Managed money net positioning in gold futures (2006-9/29/26)

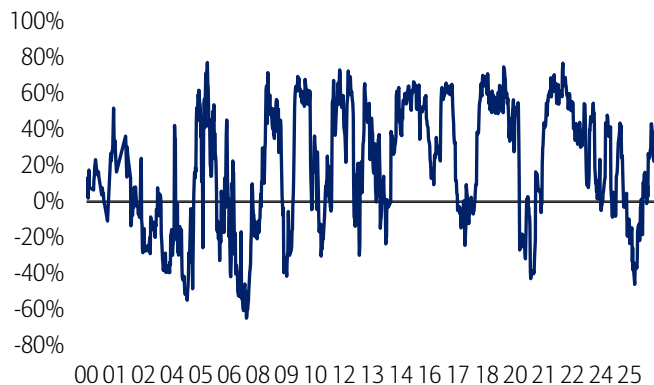


Source: Bloomberg, CFTC, BofA US Equity & Quant Strategy

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Exhibit 91: Non-commercial positioning in USD futures has been building since bearish extreme in October

Non-commercial net positioning in USD futures (2006-9/29/26)

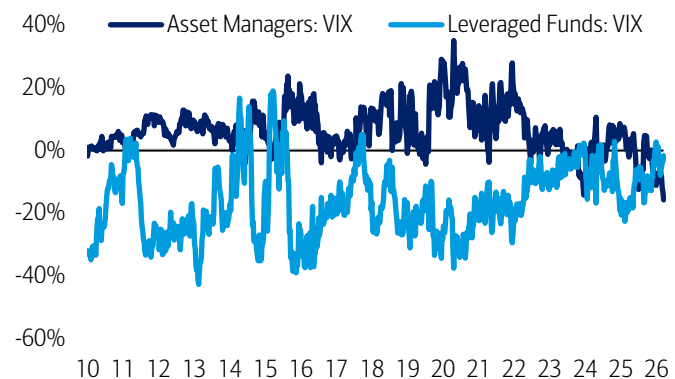


Source: Bloomberg, CFTC, BofA US Equity & Quant Strategy

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Exhibit 92: Asset managers and leveraged funds are net short VIX futures

Asset managers and leveraged fund net total VIX futures contracts as a % of open interest (2010-9/29/2026)



Source: Bloomberg, CFTC, BofA US Equity & Quant Strategy

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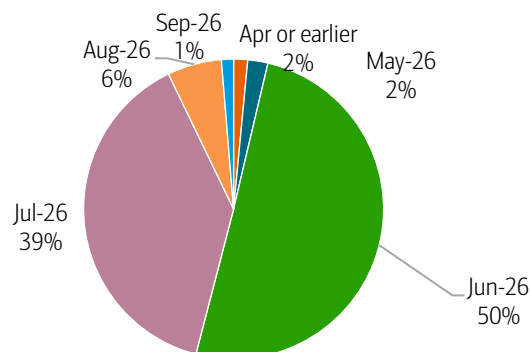
Appendix

LO Positioning Methodology

Each month, we analyze the holdings of US Large Cap Equity Mutual funds that are actively managed and create a bottom-up composite to assess fund managers' exposure to U.S. equities.

Exhibit 93: >96% of fund AUM we track was reported in June or later

% of fund AUM that has been reported by date

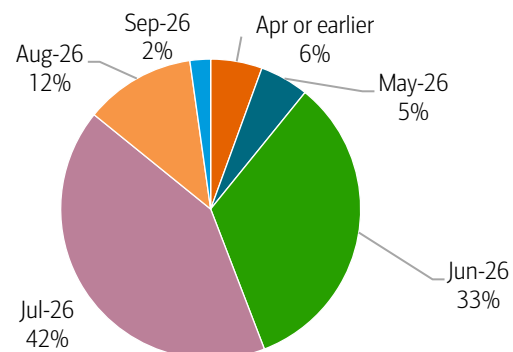


Source: FactSet, BofA US Equity & Quant Strategy

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Exhibit 94: >89% of funds we track reported in June or later

% of funds that have reported by date



Source: FactSet, BofA US Equity & Quant Strategy

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Except as noted below, information and analysis contained in this report are based on the most current fund managers' equity holdings from the FactSet Database. To provide a more recent snapshot of the value of fund managers' equity holdings, we have marked-to-market the composite as of September 21, 2026. This report does not reflect any changes, other than re-pricing, in portfolio holdings after the filing dates. We exclude ADRs and other stocks not found in the S&P 500 and Russell 1000 current constituents from our stock screens.

Our active manager universe is defined by using Lipper's size and style definitions. Using Lipper's definitions we segmented a list of U.S. Large cap active fund managers into three separate categories: Core, Growth and Value. From these lists, the equity holdings were then aggregated from each fund to build our Active Fund Manager Composites. We look at only U.S. actively managed LOs based on their primary share class. The active manager universe is updated on a monthly basis. Currently we track ~360 large cap funds with AUM of ~\$3tn S&P 500 holdings.

To evaluate active managers' sector positioning, we use the S&P 500, Russell 1000 Growth and Russell 1000 Value indices, as of September 21, 2026 as benchmarks. Some screens in the report compare current exposures of our fund snapshot to a past period.

Exhibit 95: Large Cap Active Fund Characteristics by Style

As of 9/21/26

	Core	Growth	Value	Total
Total Assets in Funds (\$m)	1,198,429	1,625,522	779,232	3,603,183
Number of Funds	146	150	64	360
Avg # of Stocks	107	74	71	87

Source: FactSet, BofA US Equity & Quant Strategy

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Hedge Fund Positioning Methodology

We analyze Hedge Funds' (HFs) positioning in S&P 500 stocks by aggregating their long positions reported through the 13F filings, and by estimating their short positions based on exchange-reported data. We estimate that HFs account for 85% of the total short interest based on a linear regression relationship over time between HF performance and short interest exposure. The net exposure of HFs is defined as their reported long exposure less their estimated short exposure.

We downloaded the holdings of hedge fund managers (as categorized by FactSet) for the S&P 500 stocks, based on the most current fund managers' equity holdings from the FactSet Database. We obtain the aggregate short interest data from the NYSE and NASDAQ exchanges via FactSet. All securities have been marked-to-market as of September 21, 2026. US stock holdings (long exposure) of hedge funds captured in this analysis was \$2.8tn.

Active Share Ratio

Active Share is calculated for each fund in our database. We calculate it as the sum of the absolute value of the differences of the weight of each holding in the manager's portfolio versus the weight of each holding in the benchmark index and then dividing by two. For example, if the benchmark includes one stock, and a portfolio manager invests half of assets in that stock and half in another stock, the Active Share of the portfolio is 50%.

Stock Screen Disclaimer

Stock screens in this report are not a recommended list either individually or as a group. One should consider the fundamentals of the companies and their own individual circumstances/objectives before making any investment decision.

Note on back-testing

The analysis of certain strategies presented in this report is back-tested and does not represent the actual performance of any account or fund. Back-tested performance depicts the hypothetical back-tested performance of a particular strategy over the time period indicated. In future periods, market and economic conditions will differ and the same strategy will not necessarily produce the same results. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein. In fact, there are frequently sharp differences between back-tested returns and the actual results realized in the actual management of a portfolio. Back-tested performance results are created by applying an investment strategy or methodology to historical data and attempts to give an indication as to how a strategy might have performed during a certain period in the past if the product had been in existence during such time. Back-tested results have inherent limitations including the fact that they are calculated with the full benefit of hindsight, which allows the security selection methodology to be adjusted to maximize the returns. Further, the results shown do not reflect actual trading or the impact that material economic and market factors might have had on a portfolio manager's decision-making under actual circumstances. Back-tested returns do not reflect advisory fees, trading costs, or other fees or expenses.

Special Disclosures

BofA is serving as financial advisor to Sempra on the sale of a 45% equity interest in Sempra Infrastructure Partners, LP to affiliates of Kohlberg Kravis Roberts & Co. L.P. (KKR) announced September 23, 2025

BofA Securities is acting as financial advisor to Medtronic PLC in the separation of MiniMed Group Inc, and as dealer-manager in the split-off of its remaining stake in MiniMed Group Inc, announced September 14, 2026.



BofA Securities is currently acting as Exclusive Financial Advisor to Norfolk Southern Corp in connection with its proposed acquisition by Union Pacific, which was announced on July 29, 2025.

BofA Securities is currently acting as Financial Advisor on potential Activism Defense assignment to Norfolk Southern Corp (NSC).

BofA Securities is currently acting as Financial Advisor to Uber Technologies Inc in connection with its proposed acquisition of Delivery Hero SE, which was announced on July 16, 2026.



Disclosures

Important Disclosures

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R1}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R1} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. *Coverage Cluster* is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

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